



HFCL Limited

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HFCL/SEC/25-26

August 21, 2025

The BSE Ltd. 1 st Floor, New Trading Wing, Rotunda Building Phiroze Jeejeebhoy Towers, Dalal Street, Fort Mumbai – 400001 corp.relations@bseindia.com Security Code No.: 500183	The National Stock Exchange of India Ltd. Exchange Plaza, 5 th Floor, C – 1, Block G Bandra – Kurla Complex, Bandra (E) Mumbai – 400051 cm1ist@nse.co.in Security Code No.: HFCL
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RE: Disclosure under Regulation 34 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations").

Subject: Submission of Business Responsibility and Sustainability Report (BRSR) for the financial year 2024-25

Dear Sir(s)/ Madam,

In terms of Regulation 34 of the SEBI Listing Regulations, we hereby submit a copy of the **Business Responsibility and Sustainability Report for the financial year 2024-25**, which also forms part of the Annual Report.

The same is also available on the website of the Company at www.hfcl.com.

You are requested to take the above information on records and upload the same on your respective websites.

Thanking you.

Yours faithfully,
For HFCL Limited

Manoj Baid
Digitally signed
by Manoj Baid
Date: 2025.08.21
15:28:24 +05'30'

(Manoj Baid)
President & Company Secretary

Encl: HFCL BRSR 2024-25

BUSINESS RESPONSIBILITY AND SUSTAINABILITY REPORT (BRSR)

SECTION A: GENERAL DISCLOSURES

I. Details of the listed entity:

S. No.	Question	Response
1.	Corporate Identity Number (CIN) of the Listed Entity	L64200HP1987PLC007466
2.	Name of the Listed Entity	HFCL Limited
3.	Year of Incorporation	11/05/1987
4.	Registered Office Address	8, Electronics Complex, Chambaghat, Solan - 173213, Himachal Pradesh
5.	Corporate Address	8, Commercial Complex, Masjid Moth, Greater Kailash- II, New Delhi-110 048
6.	E-mail	secretarial@hfcl.com
7.	Telephone	+91-11-35209400
8.	Website	www.hfcl.com
9.	Financial Year for which reporting is being done	April 1, 2024- March 31, 2025
10.	Name of the Stock Exchange(s) where shares are listed	National Stock Exchange of India Limited (NSE) and BSE Limited (BSE)
11.	Paid-up Capital	₹144.27 crore
12.	Name and contact details (telephone & email) of the person who may be contacted in case of queries on the BRSR report	Name: Mr. Manoj Baid Email: secretarial@hfcl.com Telephone: +91-11-35209400
13.	Reporting Boundary - Are the disclosures under this report made on a standalone basis (i.e., only for the entity) or on a consolidated basis (i.e., for the entity and all the entities which form a part of its consolidated financial statements, taken together)	Standalone
14.	Whether the company has undertaken assessment or assurance of the BRSR Core?	Not Applicable
15.	Name of assurance provider	Not Applicable
16.	Type of assurance obtained	Not Applicable

II. Products/ Services:

17. Details of business activities (accounting for 90% of the turnover):

S. No.	Description of Main Activity	Description of Business Activity	% Turnover of the entity
1.	Telecom Products	Manufacturing of optical fiber, optical fiber cables and telecom and networking products	57
2.	Turnkey Contract and Services	Engineering, Procurement and Construction Services	43

18. Product/ Services sold by the entity (accounting for 90% of the entity's turnover):

S. No.	Product/ Service	NIC Code	% of total Turnover contributed
1.	Turnkey Contracts & Services	42202	43
2.	Telecom Products / Equipment	26104	31
3.	Optical Fiber Cables	27310	18
Total			92

III. Operations:

19. Number of locations where plants and/or operations/ offices of the entity are situated:

Location	Number of Plants	Number of Offices	Total
National	6	72	78
International	0	11*	11

*Including offices of subsidiaries.

20. Markets Served by the Entity:

a. Number of Locations:

Location	Number
National (No. of States)	Pan India
International (No. of Countries)	HFCL exports its products to over 45 countries, including Germany, France, Denmark, Ireland, Austria, Finland, Italy, United Kingdom (UK), Portugal, Spain, United States of America (USA), Canada, Mexico, Argentina, South Africa, Turkey, United Arab Emirates (UAE), and more.

b. What is the contribution of exports as a percentage of the total turnover of the entity?

During FY 2024-25, exports contributed 10% to the total turnover of the Company.

c. A Brief on types of customers

HFCL is a leading technology enterprise with operations in high end Telecom and Defence Equipment, Optical Fiber and Optical Fiber Cables and also creating digital networks for telcos, enterprises and governments. Over the years, HFCL has emerged as a trusted partner offering sustainable high-tech solutions with a commitment to provide the latest technology products to its customers. Our strong R&D expertise coupled with our global system integration services and decades of experience in fiber optics enable us to deliver innovative digital network solutions required for the most advanced networks.

HFCL's customers are broadly categorized into three key segments:

1. Business-to-Business (B2B):

This segment encompasses engagements with major telecom operators, Original Equipment Manufacturers (OEMs), and turnkey project companies. HFCL supplies critical components such as optical fiber cables, telecom and networking equipment essential for the deployment of 4G, 5G, and broadband networks. Additionally, the Company offers network implementation solutions to turnkey project partners. These clients rely on HFCL's reliable manufacturing infrastructure and technological capabilities to deliver scalable, high-quality connectivity solutions.

2. Business-to-Emerging Corporate Accounts (B2ECA):

This segment comprises Internet Service Providers (ISPs) and system integrators, who are central to India's ongoing digital transformation. HFCL supports these customers with advanced fiber-optic solutions, telecom hardware, and integrated network services designed to enable enterprise-grade connectivity and infrastructure expansion across diverse geographies.

3. Business-to-Government (B2G):

HFCL plays a crucial role in serving government entities, including, defence organizations, public sector undertakings (PSUs) and Indian Railways. HFCL has a strong track record in executing large-scale telecom infrastructure projects, including transport networks, FTTH rollouts, and advanced Wi-Fi deployments. The Company supports critical defence communication infrastructure with secure, end-to-end network deployments contributing directly to India's digital and security imperatives.

Manufacturing Capabilities:

HFCL's state-of-the-art manufacturing facilities located in Hyderabad, Goa, Manesar, Hosur, and Solan are central to its ability to serve the diverse clientele. These units specialize in the production of optical fiber cables, optical fiber, telecom networking products, and defence-grade equipment. This manufacturing backbone enables HFCL to deliver high-performance, customized solutions across both domestic and international markets.

IV. Employees:

21. Details as at the end of Financial Year 2024-25:

a. Employees and Workers (including differently abled)

Employees (including differently abled)						
S. No.	Particulars	Total (A)	Male		Female	
			Number (B)	Percentage (B/A)	Number (C)	Percentage (C/A)
1.	Permanent Employees	1,748	1,634	93	114	7
2.	Other than Permanent Employees	543	533	98	10	2
3.	Total Employees (1+2)	2,291	2,167	95	124	5

Workers (including differently abled)						
S. No.	Particulars	Total (A)	Male		Female	
			Number (B)	Percentage (B/A)	Number (C)	Percentage (C/A)
4.	Permanent Workers	162	142	88	20	12
5.	Other than Permanent Workers	778	727	93	51	7
6.	Total Workers (4+5)	940	869	92	71	8

Note:

- Permanent Employees- L5 and above on-roll employees
- Other than Permanent Employees – Trainee (BE & Graduate) engineers under various government scheme such as NAPS, NATS and off-roll employees on third-party rolls.
- Permanent Workers – L6 and L7, on-roll employees
- Other than Permanent Workers- Trainee (Diploma & ITI) engineers under various government schemes such as NAPS, NATS and off-roll employees on third-party rolls.

b. Differently abled Employees and Workers

Differently Abled Employees						
S. No.	Particulars	Total (A)	Male		Female	
			Number (B)	Percentage (B/A)	Number (C)	Percentage (C/A)
1.	Permanent Employees	1	1	100	0	0
2.	Other than Permanent Employees	0	0	0	0	0
3.	Total Employees (1+2)	1	1	100	0	0

Differently Abled Workers						
S. No.	Particulars	Total (A)	Male		Female	
			Number (B)	Percentage (B/A)	Number (C)	Percentage (C/A)
4.	Permanent Workers	0	0	0	0	0
5.	Other than Permanent Workers	0	0	0	0	0
6.	Total Workers (4+5)	0	0	0	0	0

22. Participation/ Inclusion/ Representation of Women

	Total (A)	Number of Female (B)	Percentage (B/A)
Board of Directors	6	1	17
Key Management Personnel (KMP)*	2	0	0

*Excluding Managing Director who has been included in Board of Directors category.

Note: Mr. Surendra Singh Sirohi (DIN:07595264) and Dr. (Ms.) Tamali Sengupta (DIN: 00358658) have completed their second term as Independent Directors on the close of business hours on August 26, 2024, and December 23, 2024, respectively.

During the FY25, the Board of Directors on recommendation of the Nomination, Remuneration and Compensation Committee, appointed Mrs. Bela Banerjee (DIN: 07047271) as an Additional Director in the category of Independent Director for a period of three consecutive years effective from December 17, 2024 to December 16, 2027, not liable to retire by rotation, who was further appointed as a Director (Independent) by the shareholders of the Company on March 08, 2025, through Postal Ballot by way of a special resolution.

23. Turnover rate for permanent employees and workers (Disclose trends for the past 3 years):

	FY 2024- 25			FY 2023- 24*			FY 2022- 23*		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	24.0%	20.0%	24.0%	11.0%	17.0%	11.0%	15.0%	18.0%	15.0%
Permanent Workers	8.0%	13.0%	9.0%	7.0%	17.0%	9.0%	7.0%	15.0%	8.0%

* The turnover rate for FY 23-24 and 22-23 has been restated, owing to change in the approach for calculations.

V. Holding, Subsidiary and Associate Companies (including joint ventures):

24. Names of holding/ subsidiary/ associate companies/ joint ventures

S. No.	Name of the holding/ subsidiary/ associate companies/ joint ventures (A)	Indicate whether holding/ subsidiary/ associate/ joint venture	% of shares held by listed entity	Does the entity indicated at Column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/ No)
1.	HTL Limited	Subsidiary	74	No
2.	Raddef Private Limited	Subsidiary	90	No
3.	Moneta Finance Private Limited	Subsidiary	100	No
4.	HFCL Advance Systems Private Limited*	Subsidiary	100	No
5.	Polixel Security Systems Private Limited	Subsidiary	100	No
6.	DragonWave HFCL India Private Limited	Subsidiary	100	No
7.	HFCL Technologies Private Limited	Subsidiary	100	No
8.	HFCL B.V. Netherlands	Subsidiary	100	No
9.	HFCL Inc. USA	Subsidiary	100	No
10.	HFCL Canada Inc.	Step-down subsidiary	100	No
11.	HFCL Poland Sp. z.o.o.** (formerly known as Blue Diwali Sp. z.o.o.) (w.e.f. May 17, 2024)	Step-down subsidiary	100	No
12.	HFCL UK Limited*** (w.e.f. July 05, 2024)	Step-down subsidiary	100	No
13.	HFCL Pty Limited (w.e.f. from October 28, 2024)****	Step-down subsidiary	100	No
14.	Nimpaa Telecommunications Private Limited	Associate	50	No
15.	BigCat Wireless Private Limited	Associate	50 [§]	No

Note: *HFCL Limited holds 90% shareholding directly and balance 10% held through Polixel Security Systems Private Limited, a wholly owned subsidiary of HFCL Limited.

**HFCL B.V., a wholly owned subsidiary of HFCL Limited in Netherlands, has acquired 100% stake in HFCL Poland Sp. z.o.o (formerly known as Blue Diwali Sp. z.o.o.), a company registered in state of Warsaw, Poland. Consequently, HFCL Poland Sp. z.o.o., has become a wholly owned subsidiary of HFCL B.V., and also a step-down wholly owned subsidiary of the Company w.e.f. May 17, 2024.

***HFCL B.V., a wholly owned subsidiary of HFCL Limited in Netherlands, has established a wholly owned subsidiary company namely HFCL UK Limited in the United Kingdom (UK). Consequently, HFCL UK Limited has also become a step down wholly owned subsidiary of the Company w.e.f. July 05, 2024.

****HFCL B.V., a wholly owned subsidiary of HFCL Limited in Netherlands, has acquired 100% stake in HFCL Pty Limited, a company registered in Australia. Consequently, HFCL Pty Limited, has become a wholly owned subsidiary of HFCL B.V., and also a step-down wholly owned subsidiary of the Company w.e.f. October 28, 2024.

§ 50% voting rights.

VI. CSR Details:

25. (i) Whether CSR is applicable as per Section 135 of Companies Act, 2013 (Yes/No): Yes

(ii) Turnover (in ₹): 3,795.22 crore

(iii) Net Worth (in ₹): 3,962.60 crore

VII. Transparency and Disclosures Compliances:

26. Complaints/ Grievances on any of the Principles (1-9) under the National Guidelines on Responsible Business Conduct:

Stakeholder Group from whom complaint is received	Grievance Redressal Mechanism in place (Yes/NO) (If yes, then provide web-link for grievance redress policy)	Current Financial Year 2024- 25			Previous Financial Year 2023- 24		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities	Yes. Responsibility for handling community grievances is assigned to the CSR project partners through the Memorandum of Understanding (MoU). These partners address any complaints in a collaborative manner, following the established protocols and guidelines to ensure timely and effective resolution.	0	0	No complaints filed.	0	0	No complaints filed.
Investors and Shareholders	Yes. The Company has a Whistleblower Policy in place, which can be accessed at: https://www.hfcl.com/wp-content/uploads/2020/01/HFCL-Whistle-Blower-Policy-Revised1.pdf Mechanism for Grievance Redressal: HFCL has an established grievance redressal procedure to address complaints from stakeholders, including investors and shareholders. During the reporting year, the Company responded to investor queries and grievances within 15 days of receipt, except in cases where resolution was delayed due to disputes or legal constraints, if any.	58	0	All complaints resolved.	60	0	All complaints resolved.
Employees and Workers	Yes. Employee and extended workforce grievances are addressed in a timely and effective manner through our grievance redressal mechanism, available at all our plants/offices.	0	0	No complaints filed.	0	0	No complaints filed.
Contract Labourers		0	0	No complaints filed.	0	0	No complaints filed.

Stakeholder Group from whom complaint is received	Grievance Redressal Mechanism in place (Yes/NO) (If yes, then provide web-link for grievance redress policy)	Current Financial Year 2024- 25			Previous Financial Year 2023- 24		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of year	Remarks
Customers	Yes. At HFCL, we have a structured system for handling customer complaints, which allows customers to provide feedback or complaints via email to their assigned account manager or the designated plant complaint management representative. Resolutions are completed within defined time frames that correspond to the nature and urgency of each complaint. The policy related to the customer grievances is available on Company's website- https://www.hfcl.com/wp-content/uploads/2021/12/HFCL-F08-06-14-Customer-Complaint-Form_Rev-01.pdf	6	0	All complaints resolved.	0	0	No complaints filed.
Value Chain partners	Yes. Complaints are submitted to the respective account managers within the Optical Fiber Cable (OFC) Business Unit and are typically resolved within 24 hours. In the Communication Business Unit, issues are addressed within a defined response time of 12 hours. To ensure timely resolution, an escalation matrix is in place with up to three levels of intervention. If a complaint remains unresolved at the initial stages, it is escalated to the third level, where it is mandatorily resolved within 48 hours. Dedicated email (iosupport@hfcl.com) and a Toll-Free Number (+91 8792701100) is provided for registering complaints. The email of SPOC has been also provided. (naresh.gupta@hfcl.com)	0	0	No Complaints filed.	4	0	All complaints resolved.

Stakeholder Group from whom complaint is received	Grievance Redressal Mechanism in place (Yes/NO) (If yes, then provide web-link for grievance redress policy)	Current Financial Year 2024- 25			Previous Financial Year 2023- 24		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Implementation Partner (NGOs)	Yes. The process for raising, addressing, and resolving grievances or issues with CSR project partners is clearly outlined in each Memorandum of Understanding (MoU), ensuring clarity of roles, accountability, and timely redressal.	0	0	No complaints filed.	0	0	No complaints filed.

27. Overview of the entity's material responsible business conduct issues

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along-with its financial implications, as per the following format:

S. No.	Material Issue Identified	Indicate whether Risk or Opportunity (R/O)	Rationale for identifying the risk/ opportunity	In case of Risk, approach to adapt or mitigate	Financial Implications of the risk or the opportunity (Negative/ Positive)
1.	Innovation Management	Opportunity	The Company focuses on fostering a culture of innovation and strengthening its investment in Research & Development (R&D) to drive the development of cutting-edge products, services, and solutions. Effective innovation management presents a strategic opportunity by enabling product differentiation, unlocking new revenue streams, enhancing operational efficiency, and supporting business expansion. This proactive approach positions the Company for sustained growth, resilience, and long-term competitiveness in an evolving market landscape.	-	Positive

S. No.	Material Issue Identified	Indicate whether Risk or Opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of Risk, approach to adapt or mitigate	Financial Implications of the risk or the opportunity (Negative/Positive)
2.	Data Privacy and Cyber Security	Risk and Opportunity	As a technology-driven Company, safeguarding sensitive and confidential information is critical to maintaining stakeholder trust and business integrity. Ensuring robust data security and upholding individuals' rights to privacy in the collection, use, and sharing of personal data are essential to compliance, reputation, and risk mitigation. With increasing digitalisation and evolving regulatory frameworks, any lapse in data privacy or cybersecurity could expose the Company to legal, financial, and reputational risks. Therefore, managing data privacy and cybersecurity effectively is a top priority to ensure business continuity and long-term stakeholder confidence.	HFCL prioritises the implementation of robust measures and structured processes to protect sensitive information at every level of the organisation. We collect only the data necessary for business operations, ensuring it is handled securely and in compliance with applicable regulations. Our IT management system is certified under ISO/IEC 27001:2013 and ISO/IEC 27701:2019, reflecting our commitment to the highest standards of information and privacy security. Comprehensive policies and governance frameworks are in place to oversee data protection practices. In addition, we conduct regular compliance audits, update policies proactively in line with evolving regulations, and organise periodic risk awareness and training sessions to reinforce our cybersecurity posture and minimise vulnerabilities.	Negative
3.	Employee Growth, Training, and Learning & Development	Opportunity	HFCL views employee growth, training, and continuous learning as strategic opportunities to enhance workforce capabilities and foster a culture of excellence. The Company is committed to empowering its employees by providing access to structured training programs, skill-building initiatives, and professional development opportunities. By investing in learning and development, HFCL aims at strengthening individual performance and drive innovation, engagement, and long-term organisational growth. This commitment reflects our broader approach to social responsibility and underscores the value we place on nurturing talent and advancing the well-being of our workforce.	-	Positive

S. No.	Material Issue Identified	Indicate whether Risk or Opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of Risk, approach to adapt or mitigate	Financial Implications of the risk or the opportunity (Negative/Positive)
4.	Climate Change	Risk	Climate change presents a risk to HFCL's operations, supply chains, and long-term value creation. Physical risks such as extreme weather events can disrupt operations, damage assets, and impact supply chain continuity, leading to increased costs and operational delays. In parallel, transition risks, arising from evolving regulations, stakeholder expectations, and shifts toward energy-efficient technologies, low-carbon technologies, can affect market competitiveness, reduce asset value, and impact investor confidence. ESG disclosures help bring transparency to the Company's climate risk exposure and outline the mitigation and adaptation strategies in place. Addressing climate risks is critical not only for regulatory compliance but also for safeguarding business resilience and long-term sustainability.	HFCL places strong emphasis on implementing strategies and actions aimed at mitigating climate-related risks while aligning its operations with principles of sustainable development. The Company integrates climate resilience into its decision-making processes and actively works to reduce its environmental impact through energy-efficient technologies, responsible resource management, and sustainable business practices.	Negative
5.	Sustainable Supply Chain	Risk and Opportunity	HFCL recognises the sustainable supply chain as a strategic risk and opportunity to build resilience, enhance operational efficiency, and strengthen stakeholder trust. As a technology-driven manufacturing Company, aligning supply chain practices with ESG principles enables HFCL to reduce environmental impact, promote ethical sourcing, and ensure regulatory compliance. By collaborating with responsible suppliers and promoting transparency across the value chain, the Company can drive long-term value creation, mitigate potential disruptions, and unlock cost efficiencies through resource optimisation. A sustainable supply chain also supports HFCL's commitment to circularity, innovation, and responsible growth, reinforcing its competitive position in a dynamic global market.	The Company's integrated business model, both vertically and horizontally, supports a streamlined and efficient supply chain, helping to improve performance and lower costs. To strengthen resilience, the Company is adopting sustainable practices to address climate change, broadening its supplier base to mitigate geopolitical risks, and securing alternative sources to manage potential raw material shortages.	Positive

S. No.	Material Issue Identified	Indicate whether Risk or Opportunity (R/O)	Rationale for identifying the risk/ opportunity	In case of Risk, approach to adapt or mitigate	Financial Implications of the risk or the opportunity (Negative/ Positive)
6.	Occupational Health and Safety	Risk and Opportunity	Effective occupational health and safety management presents both a critical risk and a strategic opportunity for HFCL. Given the manufacturing and field-intensive nature of its operations, inadequate safety measures can lead to workplace incidents, regulatory violations, reputational harm, and disruptions in business continuity. Conversely, maintaining a strong OHS framework enhances workforce well-being, ensures compliance, improves productivity, and strengthens stakeholder confidence in the Company's responsible business practices.	HFCL adopts a comprehensive and proactive approach to managing occupational health and safety risks across all its operations. The Company maintains safe, healthy, and hygienic working conditions for all employees, contractors, and temporary staff by aligning its Occupational Health and Safety Management System (OHSMS) with ISO 45001 standards. A Zero Tolerance (ZETO) approach is followed to eliminate unsafe practices and promote a risk-aware culture. Regular risk assessments, medical check-ups, safety drills, and visual inspections are conducted to prevent work-related injuries and illnesses. Employees are actively engaged in safety matters through consultation and capacity-building initiatives. Compliance with all applicable OHS laws and international best practices is strictly ensured, and continuous improvements are driven through audits, incident investigations, and corrective actions.	Negative

S. No.	Material Issue Identified	Indicate whether Risk or Opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of Risk, approach to adapt or mitigate	Financial Implications of the risk or the opportunity (Negative/Positive)
7.	Waste Management	Risk and Opportunity	Ineffective waste management can result in environmental degradation, legal non-compliance, and reputational risks. As a manufacturing company, HFCL generates various types of waste including hazardous, non-hazardous, and e-waste, which require proper handling and disposal. Poor waste management practices can lead to pollution, community concerns, and increased operational costs. Therefore, ensuring responsible waste disposal and minimisation is essential to maintaining environmental stewardship, regulatory compliance, and stakeholder trust.	HFCL has implemented a comprehensive waste management system across all its operations. Waste is categorised and segregated at source, with hazardous waste managed by Central Pollution Control Boards' (CPCB) authorised vendors. Non-hazardous waste is either recycled, reused within operations (where feasible), or sent to authorised recyclers. All raw materials used in the manufacturing of Optical Fiber waste and Optical Fiber Cables are RoHS and REACH compliant. HFCL also proactively reduces hazardous materials through design innovations, such as shifting to dry-core cables to reduce petroleum based jelly, and promotes circular practices by recycling packaging materials and sending used spools and containers back to suppliers. Regular audits, training, and compliance monitoring are conducted to ensure continuous improvement and alignment with regulatory and sustainability goals.	Positive
8.	Diversity and Inclusion	Opportunity	HFCL recognises diversity and inclusion as a strategic opportunity to foster innovation, enhance employee engagement, and build a resilient workforce. Embracing diverse perspectives and creating an inclusive work environment strengthens decision-making, drives creativity, and improves overall organisational performance. A diverse talent pool also enables the Company to better understand and serve a broad range of stakeholders. By promoting equal opportunities and inclusive practices, HFCL positions itself as an employer of choice, contributing to long-term growth, social equity, and business sustainability.	-	Positive

SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

This section is aimed at helping businesses demonstrate the structures, policies, and processes out in place towards adopting the NGRBC Principles and Core Elements.

Principles of National Guidelines on Responsible Business Conduct

- P1** - Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable.
- P2** - Businesses should provide goods and services in a manner that is sustainable and safe.
- P3** - Businesses should respect and promote the well-being of all employees, including those in their value chains.
- P4** - Businesses should respect the interests of and be responsive to all its stakeholders.
- P5** - Businesses should respect and promote human rights.
- P6** - Businesses should respect and make efforts to protect and restore the environment.
- P7** - Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent.
- P8** - Businesses should promote inclusive growth and equitable development.
- P9** - Businesses should engage with and provide value to their consumers in a responsible manner.

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
	Ethics and Transparency	Sustainable Business	Employee Well-being	Stakeholder Inclusiveness	Human Rights	Environment Stewardship	Public Advocacy	Social Development (CSR)	Customer Welfare
Policy and Management Processes									
1. (a). Whether your entity's policy/ policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
(b). Has the policy been approved by the Board? (Yes/No)¹	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
(c). Web Link of the policies, if available	https://www.hfcl.com/company-facts								
2. Whether the entity has translated the policy into procedures? (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
3. Do the enlisted policies extend to your value chain partners? (Yes/No)	At HFCL, the appropriate policies are triggered down value chain partners as deemed to enhance resource efficiency and drive community development and engagement initiatives.								
4. Name of the national and international codes/ certifications/labels/standards (e.g., Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustea) standards (e.g., SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.	- ISO 9001:2015 – Quality Management System at Corporate Office at Delhi, Goa Plant, Hyderabad Plant and Solan Plant. - TL9000 R6.3/R5.7(H) – Quality Management System (Telecom Industry specific) at Goa Plant and Hyderabad Plant. - TL9000:2016 – Quality Management System at Hyderabad Plant. - ISO 10002:2018 – Complaint Management System at Goa Plant and Quality management - Customer Satisfaction -Guideline for complaints handling in organization at Hyderabad Plant. - ISO 14001:2015 – Environmental Management System at Goa Plant, Hyderabad Plant and Solan Plant. - ISO 45001:2018 – Occupational Health and Safety Management System at Goa Plant, Hyderabad Plant, and Corporate Office at Delhi. - ISO/IEC 27001:2013 – Information Technology — Security Techniques — Information Security Management systems at Gurugram Office.								

¹ The policies are reviewed and approved by Board of Directors of the Company or Company's Head of Departments and signed off by MD/SBU Head/ Functional Head, as deemed appropriate.

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
	- ISO/IEC 27001:2022 – Information Technology – Security Techniques -Information Security Management systems – Requirements at Hyderabad Plant, Corporate office Delhi and Goa Plant. - ISO/IEC 27701:2019 – Privacy Information Management System (PIMS) at Goa Plant, Hyderabad Plant, Corporate Office at Delhi, and Gurugram Office. - ISO/IEC 20000-1:2018 – Information Technology – Service Management System at Goa Plant, Hyderabad Plant, Corporate Office at Delhi and Gurugram Office. - ISO/IEC 17025:2017 – General Requirements for the Competence of Testing & Calibration Laboratories at Goa Plant and Hyderabad Plant. - ISO 22301:2019 – Business Continuity Management System at Goa Plant. - CMMI Maturity Level 5 – CMMI L5 for Software Development at Gurugram Office. - Certificate of Designation (OFC Testing Lab) – Certificate of Conformity Assessment Body (CAB) Designation at Goa and Hyderabad Plant. - ESD Certificate - Electrostatic discharge (ESD) at Manesar Plant. - ZWL - Zero Waste to Landfill at Hyderabad Plant.								
5. Specific commitments, goals, and targets set by the entity with defined timelines, if any.	HFCL is committed to sustainable business practices and social development initiatives. We have business specific goals and commitments as illustrated below: At Hyderabad Plants: Renewable Energy Implementation: HFCL plans to install a 1 MWp rooftop solar power system at its Hyderabad facility during the FY 2025-26. This initiative is expected to generate approximately 1.5 million units of clean energy annually, resulting in a reduction of carbon emissions up to 1,215 metric tons per year and achieving cost savings of approximately ₹10.5 million. Zero Liquid Discharge Certification: The facility aims to obtain Zero Liquid Discharge (ZLD) certification by FY 2025-26, reinforcing its commitment to sustainable water management and environmental stewardship. Sustainability Certification Goals: Targeting achievement of Zero Waste to Landfill by the FY 2025–26. Adoption of LED Technology: The Plant has implemented horizontal deployment of LED lighting systems in the new phase of its optical fiber facility. This transition from conventional microwave-based systems is projected to reduce carbon emissions by an estimated 5,022 metric tons annually. Green Corridor Development: Continued efforts to preserve local biodiversity through the maintenance of a 10,200 square meter green corridor within the TSIC Industrial Area, contributing to ecological balance and enhancing the industrial ecosystem. At Goa Plant: Renewable Energy Transition: As part of our sustainability roadmap, Goa Plant has set a target to achieve a cumulative 40% transition to renewable energy by the FY 2026-27. Renewable Energy Utilisation: The Plant aims to meet 7% of their total energy requirements through renewable energy sources by FY 2026. Energy Efficiency: Through the upgrading of machinery and adoption of advanced technologies, Goa Plant has successfully reduced power consumption, resulting in an estimated savings of 7,00,000 units of electricity.								

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
6. Performance of the entity against the specific commitments, goals, and targets along with reasons in case the same are not met.	The Company has institutionalised strategies, processes, commitments, and initiatives aimed at promoting resource efficiency, human capital development, and community engagement. Our performance across key environmental, social, and governance (ESG) parameters is detailed in this BRSR Report.								
Governance, leadership, and oversight									
7. Statement by the director responsible for the business responsibility report, highlighting ESG related challenges, targets, and achievements (listed entity has flexibility regarding the placement of this disclosure)	At HFCL, we view sustainability not merely as a responsibility but as a strategic imperative that drives long-term value creation. This Business Responsibility and Sustainability Report reflects our continued commitment to embedding ESG principles across our operations, value chain, and stakeholder engagements. Throughout FY 2024–25, we have taken significant steps to deepen our environmental stewardship. Our facilities are increasingly being modernised with advanced, energy-efficient technologies that promote resource optimisation and reduce environmental impact. We are proud to have achieved Zero Liquid Discharge (ZLD) and Zero Waste to Landfill at several of our manufacturing units and are on track to scale these practices further. For instance, our Hyderabad Optical Fiber Plant is set to install a 1 MWp rooftop solar system in FY 2025–26, estimated to generate 1.5 million units of clean energy annually and reduce carbon emissions by over 1,200 metric tons. The plant has also adopted LED lighting and is working toward ZLD certification and green corridor development. Similarly, our Goa facility is targeting a 40% transition to renewable energy by FY 2026–27, and our Hyderabad Optical Fiber Cable Plant is working towards Zero Waste to Landfill certifications. Social impact remains at the core of our sustainability journey. Internally, we prioritize employee well-being by implementing initiatives that support mental health and foster a safe, inclusive workplace environment. Externally, through the HFCL Social Services Society (HSSS) and other CSR partners, we harness technology to enhance access to healthcare and education in underserved communities, benefiting individuals via mobile medical clinics and e-learning platforms. These efforts embody our commitment to leveraging technology as a catalyst for inclusive development and social equity. Strong governance remains the foundation of our ESG strategy. We have embedded sustainability considerations into our business planning, risk management, and decision-making processes. Oversight at the leadership level ensures that our ESG priorities are aligned with stakeholder expectations, guided by transparency, ethical conduct, and continuous improvement. As we look ahead, we remain focused on advancing our sustainability roadmap with clear, measurable goals and deep accountability ensuring HFCL continues to deliver positive impact for people, the planet, and our broader ecosystem.								
8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies)	The Company's Board of Directors are entrusted with the responsibility to oversee the implementation of the business responsibility policies.								
9. Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes/No). If “Yes”, provide details	Yes. The Board of Directors of the Company has constituted an ESG Committee to provide strategic direction and oversight on the Company's environmental, social, and governance initiatives and their implementation across the organisation. The ESG Committee comprises the following members: 1. Mr. Surendra Singh Sirohi (Independent Director) – Chairman (up to 26.08.2024) 2. Mr. Bharat Pal Singh (Independent Director) – Chairman (w.e.f. 27.08.2024) 3. Mr. Mahendra Nahata (Managing Director) – Member 4. Mr. Arvind Kharabanda (Non-Executive Director) – Member 5. Mr. Vijay Raj Jain (Chief Financial Officer) – Member 6. Mr. Sanjay Vithalrao Jorapur (Executive President – HR) – Member 7. Mr. Subhas Mondal (Senior Vice President) – Member 8. Mr. Rajesh Tatia (Vice President – Goa Plant) – Member 9. Mr. Vivek Agrawal (Vice President – Hyderabad Plant) – Member Mr. Manoj Baid, President and Company Secretary, act as the Secretary to the Committee.								

10. Details of Review of NGRBCs by the Company:

Subject for Review	Indicate whether review was undertaken by Director/ Committee of the Board/ Any other Committee									Frequency (Annually/ Half yearly/ Quarterly/ Any Other- please specify)								
	P1	P2	P3	P4	P5	P6	P7	P8	P9	P1	P2	P3	P4	P5	P6	P7	P8	P9
Performance against above policies and follow up action	The Company's policies are periodically reviewed or on a need basis by the business/ department heads, and/or the Board of Directors and signed off by Managing Director/SBU Head/Functional Head, as deemed appropriate by the Company.																	
Compliance with statutory requirements of relevance to the principles, and rectification of any non-compliances	The Company strictly adheres to all applicable laws and regulations to ensure compliances, which are reviewed on a quarterly basis by the Board of Directors.																	

11. Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If "Yes", provide name of the agency.

P1	P2	P3	P4	P5	P6	P7	P8	P9
Ethics and Transparency	Sustainable Business	Employee Well-being	Stakeholder Inclusiveness	Human Rights	Environment Stewardship	Public Advocacy	Social Development (CSR)	Customer Welfare
The working of the policies of the Company are reviewed periodically or on a need basis by business/ department heads, and/or the Board of Directors. Periodic assessment of policies for sustainability alignment is also conducted by an independent third party.								

12. If Answer to Question (1) Above is "NO", i.e., not all Principles are covered by a Policy, reasons to be stated:

Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
	Ethics and Transparency	Sustainable Business	Employee Well-being	Stakeholder Relationship	Human Rights	Environment Stewardship	Public Advocacy	Social Development (CSR)	Customer Welfare
The entity does not consider the Principles material to its business (Yes/No)	Not Applicable								
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)									
The entity does not have the financial or human and technical resources available for the task (Yes/No)									
It is planned to be done in the next financial year (Yes/No)									
Any Other Reason (please specify)									

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

Entity demonstrates their performance in integrating the Principles and Core Elements with key processes and decisions.

PRINCIPLE 1: Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent, and Accountable

Essential Indicators

1. Percentage coverage by training and awareness programmes on any of the Principles during the financial year 2024-25:

Segment	Total number of training and awareness programs held	Topics/ Principles covered under training and its impact	%age of persons in respective category covered by the awareness programmes
Board of Directors	7	The Board of Directors of the Company is periodically briefed on various updates pertaining to the business, government regulations and its impact on Company's operations.	100
Key Managerial Personnel	3	Session on Anti-Bribery & Anti-Corruption. User Awareness Session on Company forms and Webinar on GST: A Key Enabler for Viksit Bharat organised by ICSI.	50
Employees other than BoD and KMPs	186	Radio Network Planning and Design, Digital Marketing, Joint Preform Loading Procedure, Fire Fighting Safety, ISMS and PIMS Awareness, Advance MS Excel, SAP Nomenclature, Hazardous Waste Management, Ergonomics and Injury Prevention, and many more.	66
Workers	145	Awareness of 8D, Chemical Handling and Emergency Preparedness, ECCS Tape Joint Process, Fault Finding and Trouble Shooting, Bearing Basic, SOP and Work Instructions, Basic Safety Awareness, and many more.	56

2. Details of fines/ penalties/ punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors/ KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year, in the following format:

(Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Obligations) Regulations, 2015 and as discussed on the entity's website)

Monetary					
	NGRBC Principle	Name of the Regulatory/ enforcement agencies/ judicial institutions	Amount (in INR.)	Brief of Case	Has an appeal been preferred? (yes/ No)
Penalty/ Fine					
Settlement			Nil		
Compounding Fee					
Non-Monetary					
	NGRBC Principle	Name of the Regulatory/ enforcement agencies/ judicial institutions		Brief of Case	Has an appeal been preferred? (yes/ No)
Imprisonment					
Punishment			Nil		

3. Of the instances disclosed in Question 2, above detail of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed.

Case Details	Name of the regulatory/ enforcement agencies/ judicial institutions
	Not Applicable

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide web-link to the policy.

Yes.

HFCL maintains a '**zero-tolerance approach**' towards bribery and all forms of corruption, upholding the highest standards of integrity, transparency, and ethical conduct in all its operations. The Company has implemented its **Anti-Bribery and Anti-Corruption Policy** across all its operational locations, including subsidiaries and affiliates, ensuring consistent application of these principles globally. This policy applies to all individuals associated with HFCL, including directors, senior executives, officers, employees (*permanent, fixed-term, or temporary*), consultants, contractors, trainees, secondees, casual staff, volunteers, interns, agents, and any other third parties representing or acting on behalf of the Company. HFCL actively encourages all covered individuals to promptly report any concerns related to bribery, corruption, or unethical conduct through the appropriate channels, fostering a culture of accountability and ethical vigilance.

The Anti-Bribery and Anti-Corruption Policy is available at: [https://www.hfcl.com/wp-content/uploads/2023/06/HFCL-Anti-Bribery and Anti-Corruption Policy.pdf](https://www.hfcl.com/wp-content/uploads/2023/06/HFCL-Anti-Bribery-and-Anti-Corruption-Policy.pdf)

5. Number of Directors/ KMPs/ employees/ workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

	Current Financial Year 2024-25	Previous Financial Year 2023-24
Directors	Nil	Nil
Key Managerial Personnel (KMPs)	Nil	Nil
Employees	Nil	Nil
Workers	Nil	Nil

6. Details of complaints with regard to conflict of interest:

	Current Financial Year 2024-25		Previous Financial Year 2023-24	
	Number	Remark	Number	Remark
Number of complaints received in relation to issues of Conflict of Interest of the Directors	Nil	NA	Nil	NA
Number of complaints received in relation to issues of Conflict of Interest of the KMPs	Nil	NA	Nil	NA

7. Provide details of any corrective action taken or underway on issues related to fines/ penalties/ action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

The Company remains committed to adhering to all applicable regulations, standards, and legal requirements. During the reporting period, no instances of non-compliance concerning corruption, conflicts of interest or any applicable regulatory requirements were detected; consequently, no corrective measures were necessary.

8. Number of days of accounts payables [(Accounts payable*365)/ Cost of goods/services procured] in the following format:

	Current Financial Year 2024-25	Previous Financial Year 2023-24
Number of days of accounts payables	147	100*

Note: The increase in trade payables during the reporting period is primarily attributed to higher procurement of goods and services towards the end of the financial year, coupled with extended credit terms negotiated with suppliers.

*The number of days of accounts payables have been restated, owing to change in the approach for calculations.

9. Openness of Business:

Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along with loans and advances & investments, with related parties, in the following format:

Parameter	Metrics	Current Financial Year 2024-25	Previous Financial Year 2023-24
Concentration of Purchases	a. Purchases from trading houses as % of the total purchases	Not Applicable	Not Applicable
	b. Number of trading houses where purchases are made from		
	c. Purchases from top 10 trading houses as % of total purchases from trading houses		
Concentration of Sales	a. Sales to dealers/ distributors as % of total sales	Not Applicable	Not Applicable
	b. Number of dealers/ distributors to whom sales are made		
	c. Sales to top 10 dealers/ distributors as % of total sales to dealers/ distributors		
Share of RPTs in	a. Purchases (Purchases with related parties/ Total Purchases)	9%	11%*
	b. Sales (Sales to related parties/ Total Sales)	3%	4%
	c. Loans & advances (Loans & advances given to related parties/ Total loans & advances)	67%	91%**
	d. Investments (Investments in related parties/ Total Investments made)	51%	25%

*The percentage contribution of purchases with RPTs to the total purchases has been revised from 10% to 11% due to a rounding error. This correction reflects the accurate proportion of RPT within the overall purchases.

**The ratio of Loans & Advances given to related parties to total Loans & Advances has been restated from 13% to 91%. This adjustment was made because the amount recorded previously reflected transactions during the year instead of the closing balance, which has now been corrected.

Leadership Indicators

1. Awareness programmes conducted for the value chain partners on any of the Principles during the financial year 2024-25:

Total number of awareness programmes held	Topics/ Principles covered under the training	%age of value chain partners covered (by value of business done with such partners) under the awareness programmes
1	9 Principles of BRSR	5

2. Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/ No). If "Yes", provide details of the same.

Yes.

As a part of its Code of Business Conduct and Ethics for the Members of the Board of Directors ("**Code**"), the Company has instituted detailed provisions to address conflicts of interest. In addition to this, the Company has formulated internal policies and mechanisms that outline various safeguards and measures to manage conflicts of interests.

The Code is publicly available on the Company's website, through the following link:

https://www.hfcl.com/wp-content/uploads/2025/05/Code-of-Business-Conduct-and-Ethics-Board-of-Directors_22052025.pdf

To uphold transparency, integrity, and the prevention of conflicts of interest within the Company and its Board of Directors, following key provisions are in place:

- **Employment & Outside Engagements:** Whole-time Directors are prohibited from engaging in activities that may compromise their responsibilities to the Company or conflict with its interests. This includes refraining from simultaneous employment with suppliers, customers, or competitors, and from any activity that may support a competitor's position. Any potential conflict must be disclosed to the Audit Committee.
- **Outside Directorships:** Directors are not permitted to accept assignments with companies or agencies that compete with HFCL without obtaining prior approval from the Company's Audit Committee.

- **Business Interests:** Directors must seek approval from the Audit Committee before entering into any business relationship with a customer, supplier or competitor of the Company, ensuring such involvement does not compromise their responsibilities to HFCL.
- **Related Party Transactions:** Directors are expected to avoid conducting Company business with relatives or with entities in which relatives hold a significant role. If such transactions are unavoidable, they must seek the approval of the Audit Committee, in accordance with applicable laws.
- **Gifts and Hospitality:** Directors must not accept payments, costly gifts or anything of significant value from customers, vendors or consultants that could be perceived as intended to improperly influence decisions. Modest, infrequent gifts, business meals or entertainment that do not create a perception of impropriety are permissible.
- **Corporate Opportunities:** Directors are prohibited from personally exploiting opportunities that arise through access to Company property, information or position. Any such opportunity must be fully disclosed in writing to the Board and may only be pursued with its explicit approval.

These measures uphold transparency, integrity, and the prevention of conflicts of interest within the Company and its Board of Directors.

PRINCIPLE 2: Businesses should provide goods and services in a manner that is sustainable and safe.

Essential Indicators

1. **Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.**

Particulars	Current Financial Year 2024-25	Previous Financial Year 2023-24	Details of improvements in environmental and social impacts
R&D	100%	100%	The design and development of our telecom and networking products focus on creating positive environmental and social impacts. These innovations support sustainable and efficient agriculture, facilitate remote working, and advance Smart Cities initiatives. The Company also contribute to improving healthcare services and infrastructure, enabling medical support and online consultations in remote areas.
Capex	100%	100%	During the reporting year, HFCL invested in modernising its manufacturing facilities by allocating regular capital expenditure towards upgrading equipment, adopting advanced technologies, and optimising production processes to enhance operational efficiency and promote sustainable manufacturing practices across all the plants.

2. **a. Does the entity have procedures in place for sustainable sourcing? (Yes/No).**

- b. If "Yes", what percentage of inputs were sourced sustainability?**

Yes.

100%

HFCL has established a sustainable procurement process that integrates Environmental, Social, and Governance (ESG) compliance as a mandatory requirement during vendor onboarding and registration. The Company's procurement decisions are guided by the principle of total cost of ownership, evaluating not just price, but also environmental, social, and lifecycle impacts to ensure long-term value and sustainability. All vendors and suppliers undergo a structured assessment designed to mitigate sustainability-related risks at the outset. HFCL Plants follow a comprehensive sourcing checklist as a fundamental criterion for supplier selection during raw material procurement. This checklist covers critical parameters including Quality, Environment, Health and Safety, Social responsibility, Sustainability, and Business Continuity. As part of this process, vendors are required to submit relevant compliance documentation and provide a formal undertaking affirming their commitment to ethical and sustainable business practices. This includes adherence to human rights principles, as well as applicable environmental and social standards and certifications, such as ISO quality management systems, OHSAS, or equivalent frameworks. Suppliers found to be non-compliant with HFCL's sustainability requirements may face contract suspension or termination, unless appropriate corrective actions are taken within a reasonable timeframe.

Furthermore, HFCL sources solder paste containing lead only from suppliers certified under ISO 14001:2015, underscoring its commitment to responsible and environmentally sound sourcing practices.

3. Describe the processes in place to safely reclaim your products for reusing, recycling, and disposing at the end of life for:
 - a. Plastics (including packaging)
 - b. E-waste
 - c. Hazardous waste
 - d. Other waste

Details of improvements in environmental and social impacts	
Plastics (including packaging)	The plastic packaging material used for supplying Optical Fiber is reclaimed from HFCL's customers, reused until the end of its useful life, and then responsibly recycled through authorised recyclers.
E-waste	HFCL has established a standardised e-waste management system in line with the E-Waste Management Rules, 2022. As part of its recycling process, all e-waste is safely disposed of through authorised e-waste vendors to ensure responsible and compliant handling.
Hazardous waste	HFCL has implemented a standardised hazardous waste management system in compliance with the Government of India's Hazardous Waste Management Rules. Hazardous waste generated during operations is safely disposed of through authorised vendors for effective utilisation as an Alternate Fuel Resource Facility (AFRF).
Other waste	The paper packaging material (corrugated boxes) used for supplying Optical Fiber is reclaimed from HFCL's customers, reused until the end of its usable life, and then responsibly disposed of through authorised recyclers or scrap vendors.

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes/No). If Yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Board? If Not, provide steps taken to address the same.

Yes, Telecom Plant at Manesar has obtained EPR Registration under the "Importer Category" for the electronic waste, as per the E-waste (Management) Rules, 2022. In addition to this, the other HFCL plants are in the process of registering under EPR for plastic waste, in accordance with the Plastic Waste Management Rules.

Leadership Indicators

1. Has the entity conducted Life Cycle Perspective/ Assessment (LCA) for any of its products (for manufacturing industries) or for its services (for service industry)? If Yes, provide details in the following format:

NIC Code	Name of product/ service*	% of Total Turnover contributed	Boundary for which the Life cycle perspective/ assessment was conducted	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/No) If "Yes", provide web-link
23102	ITU-T G.652.D (+250 µm Coating Diameter) OF	5.76	Cradle-to-gate Greenhouse gas emissions in kg CO ₂ equivalent/ km of fiber	Yes	No
23102	ITU-T G.657.A1 (+200 µm Coating Diameter) OF	0.62	Cradle-to-gate Greenhouse gas emissions in kg CO ₂ equivalent/ km of fiber	Yes	No
23102	ITU-T G.657.A2 (+200 µm Coating Diameter) OF	0.01	Cradle-to-gate Greenhouse gas emissions in kg CO ₂ equivalent/ km of fiber	Yes	No
23102	ITU-T G.657.A2 (+250 µm Coating Diameter) OF	0.51	Cradle-to-gate Greenhouse gas emissions in kg CO ₂ equivalent/ km of fiber	Yes	No

NIC Code	Name of product/ service*	% of Total Turnover contributed	Boundary for which the Life cycle perspective/ assessment was conducted	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/No) If "Yes", provide web-link
27310	48F Armoured G.652.D OFC	1.28	Cradle-to-gate Greenhouse gas emissions in kg CO ₂ equivalent/ km of fiber cable	Yes	No
27310	96F ULW G.657.A1 OFC	0.10	Cradle-to-gate Greenhouse gas emissions in kg CO ₂ equivalent/ km of fiber cable	Yes	No
27310	144F Multitube Micro G.652.D OFC	0.06	CCradle-to-gate Greenhouse gas emissions in kg CO ₂ equivalent/ km of fiber cable	Yes	No
26303	ion4x14 - 1 Gbps UBR with 27 dBi integrated antenna	1.05	Cradle-to-gate Greenhouse gas emissions in kg CO ₂ equivalent/ unit product	Yes	No

*The Life Cycle Assessment of the above-mentioned products were carried out using the data for FY 2023-24. Therefore, the percentage contribution to the turnover value for each product has been provided for FY 2023-24.

2. If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products/ services, as identified in the Life Cycle Perspective/ Assessments (LCA) or through any other means, briefly describe the same along with action-taken to mitigate the same.

Name of Product/ Service	Description of the risk/ concern	Action Taken
There are neither significant social nor environmental concerns and/ or risks arising from production and disposal of the products manufactured by HFCL.		

3. Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).

Indicate input material	Recycled or re-used input material to total material	
	Current Financial Year 2024-25	Previous Financial Year 2023-24
Bobbins	5.31%	0.97%
Polypropylene Box	-	0.03%
Paper Corrugated Box	0.25%	0.06%
Overall (Total of above three items)	5.56%	1.06%

4. Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format:

	Current Financial Year 2024-25			Previous Financial Year 2023-24		
	Re-Used	Recycled	Safely Disposed	Re-Used	Recycled	Safely Disposed
Plastics (including packaging)	388	14	0	165	80	0
E-Waste	0	0	0	0	0	0
Hazardous Waste	0	0	0	0	0	0
Other Waste	107	105	0	73	98	0

5. Reclaimed products and their packaging materials (as percentage of products sold) for each product category

Indicate Product Category	Reclaimed products and their packaging materials as % total products sold in respective category
Not Applicable	

PRINCIPLE 3: Businesses should respect and promote the well-being of all employees, including those in their value chains.

Essential Indicators

1. a. Details of measures for the well-being of Employees:

Category	% of employees covered by										
	Total (A)	Health Insurance		Accident Insurance		Maternity Benefits		Paternity Benefits		Day Care Facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E/A)	Number (F)	% (F/A)
	Permanent Employees										
Male	1,634	1,634	100	1,634	100	0	0	1,634	100	157	10
Female	114	114	100	114	100	114	100	0	0	10	9
Total	1,748	1,748	100	1,748	100	114	7	1,634	93	167	10
	Other than Permanent Employees										
Male	533	533	100	533	100	0	0	533	100	58	11
Female	10	10	100	10	100	10	100	0	0	2	20
Total	543	543	100	543	100	10	2	533	98	60	11

b. Details of measures for the well-being of Workers:

Category	% of workers covered by										
	Total (A)	Health Insurance		Accident Insurance		Maternity Benefits		Paternity Benefits		Day Care Facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E/A)	Number (F)	% (F/A)
	Permanent Workers										
Male	142	142	100	142	100	0	0	142	100	12	8
Female	20	20	100	20	100	20	100	0	0	0	0
Total	162	162	100	162	100	20	12	142	88	12	7
	Other than Permanent Workers										
Male	727	727	100	727	100	0	0	727	100	347	48
Female	51	51	100	51	100	51	100	0	0	31	61
Total	778	778	100	778	100	51	7	727	93	378	49

c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format

	Current Financial Year 2024-25	Previous Financial Year 2023-24
Cost incurred on well-being measures as a % of total revenue of the Company	0.24%	0.17%

2. Details of retirement benefits, for Current FY and Previous FY

Benefits	Current Financial Year 2024-25			Previous Financial Year 2023-24		
	No. of employees covered as % of total employees	No. of workers covered as % of total workers	Deducted and Deposited with the authority (Yes/ No/ NA)	No. of employees covered as % of total employees	No. of workers covered as % of total workers	Deducted and Deposited with the authority (Yes/ No/ NA)
PF	100	100	Yes	100	100	Yes
Gratuity	100	100	Yes	100	100	Yes
ESI	0.30	2	Yes	0.30	2	Yes

3. Accessibility of Workplaces

Are the premises/ offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If "Not", then whether any steps are being taken by the entity in this regard.

HFCL is committed to ensuring accessibility for individuals with disabilities i.e., wheelchairs and ramps are available at several office locations and plant sites of HFCL. The Company is actively working towards making all remaining premises fully accessible for differently abled employees, workers, and visitors by progressively introducing appropriate facilities. Braille signage has been installed at entry and exit points as well as in elevators, and all facilities are equipped with specially designated restrooms featuring guardrails to support ease of use for differently abled individuals.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, please provide the web-link of the policy.

HFCL is committed to fostering a workplace that upholds equality, respect, and fairness for all, without discrimination on the basis of gender, age, disability, ethnicity, sexual orientation, family status, religious beliefs, or abilities. The Company has adopted a comprehensive Diversity, Equity, and Inclusion (DE&I) Policy that promotes equal opportunities for all employees. This policy supports a positive and inclusive work environment by recognising, respecting, and valuing diversity while actively preventing any form of discrimination. It also aims to integrate equity into all employment processes, from recruitment and hiring to training, career development, performance evaluation and promotions, ensuring fair treatment and equal access to opportunities for all individuals.

The Policy is available on the website at https://www.hfcl.com/wp-content/uploads/2025/07/HFCL_EEO_Policy_R2_F_15.03.24.pdf

5. Return to work and Retention rates of permanent employees and workers that took parental leave for FY 2024-25.

Gender	Permanent Employees		Permanent Workers	
	Return to Work Rate	Retention Rate	Return to Work Rate	Retention Rate
Male	100%	100%	100%	100%
Female	100%	100%	100%	100%
Total	100%	100%	100%	100%

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and workers? If yes, give details of the mechanism in brief:

Permanent Workers	Yes, HFCL fosters a culture of transparency and open communication between employees and management across all levels. The Company has put in place various measures to ensure a safe, inclusive, and supportive work environment for all employees and workers.
Other than Permanent Workers	Employees and workers are encouraged to raise grievances in writing with their immediate supervisor, department head, or HR business partner. These concerns are addressed through a personal hearing, with efforts made to resolve them at the earliest stage. If unresolved, the grievance may be escalated to higher management, such as the Plant Head, Function or Business Head, or the Managing Director.
Permanent Employees	
Other than Permanent Employees	In addition, HFCL has appointed a Vigilance Officer under its Whistle Blower Policy, through whom employees and workers can confidentially report concerns. The Vigilance Officer reviews and investigates the complaints and submits findings to the Audit Committee for appropriate action. To address incidents of sexual harassment, the Company has constituted Internal Complaints Committees (ICCs) at every workplace, in line with its Policy on Prevention of Sexual Harassment (POSH), ensuring timely and sensitive resolution of complaints.

7. Membership of employees and workers in association(s) or Unions recognised by the listed entity:

Category	Current Financial Year 2024-25			Previous Financial Year 2023-24		
	Total employees/workers in respective category (A)	No. of employees/workers in respective category, who are part of Association(s) or Unions (B)	Percentage (%) (B/A)	Total employees/workers in respective category (A)	No. of employees/workers in respective category, who are part of Association(s) or Unions (B)	Percentage (%) (B/A)
Total Permanent Employees	1,748	1	0.10	1,929	1	0.10
Male	1,634	1	0.10	1,803	1	0.10
Female	114	0	0	126	0	0
Total Permanent Workers	162	35	22	185	36	19.50
Male	142	16	11	160	16	10
Female	20	19	95	25	20	80

8. Details of training given to employees and workers on “Health and Safety Measures”

Category	Current Financial Year 2024-25					Previous Financial Year 2023-24				
	Total (A)	On Health and safety measures		On Skill Upgradation		Total (D)	On Health and safety measures		On Skill Upgradation	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Male	2,167	665	31	1,008	47	2,128	381	18	1,002	47
Female	124	55	44	100	81	133	57	43	111	83
Total	2,291	720	31	1,108	48	2,261	438	19	1,113	49
Workers										
Male	869	248	29	172	20	1,195	218	18	286	24
Female	71	21	30	7	10	91	8	9	12	13
Total	940	269	29	179	19	1,286	226	18	298	23

9. Details of Performance and Career Development reviews of employees and workers:

Category	Current Financial Year 2024-25			Previous Financial Year 2023-24		
	Total (A)	Number (B)	Percentage (%) (B/A)	Total (C)	Number (D)	Percentage (%) (D/C)
Employees						
Male	2,167	1,959	90	2,128	1,947	91
Female	124	115	93	133	120	90
Total	2,291	2,074	91	2,261	2,067	91
Workers						
Male	869	691	80	1,195	935	78
Female	71	63	89	91	78	86
Total	940	754	80	1,286	1,013	79

10. Health and Safety Management System:

- a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/No). If yes, then coverage of the system.

Yes. HFCL is strongly committed to safeguarding the health, safety, and well-being of the employees and workers. The Company strive to maintain a safe and healthy work environment by actively preventing work-related injuries and illnesses, enhancing safety performance, and strictly enforcing our Zero Tolerance (ZETO) policy towards safety hazards.

To uphold this commitment, HFCL has implemented an Environmental and Occupational Health & Safety Management System, aligned with ISO 14001:2015 and ISO 45001:2018 standards. This system is fully integrated into Company's core business operations, ensuring that health and safety considerations are embedded across all functions and processes.

- b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis of the entity?

HFCL has established a collaborative framework involving employees, associates, and contract workers to proactively identify and manage work-related hazards and risks. The Company has implemented the following procedures to strengthen its occupational health and safety practices:

- **Safety Audits:** Both internal and external audits are conducted regularly at all plant locations to identify potential hazards and ensure compliance with safety standards.
- **Hazard Identification and Risk Assessment (HIRA):** A structured process is followed to identify, evaluate, and manage potential hazards and associated risks across all operations and locations.
- **Daily Site Inspections:** Routine visual inspections are carried out to check the use of personal protective equipment, emergency equipment readiness, machine safety, and overall compliance with safety procedures. These inspections help maintain a safe work environment and prevent accidents.
- **Work Permit System:** High-risk tasks are managed through a work permit system that includes hazard assessment, permit issuance, and compliance monitoring to ensure safe execution.
- **Safety Committee Meetings:** Periodic meetings are held to review workplace safety concerns and formulate mitigation strategies.
- **Employee Engagement and Recognition:** The Company promotes active employee participation in OHS through customised reward and recognition programs. Employees are encouraged to report unsafe acts, unsafe conditions, and near-miss incidents via email, phone calls, or suggestion boxes to facilitate regular and ad-hoc hazard identification and risk assessment.

- c. Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks? (Yes/No)

Yes. HFCL has established a user-friendly reporting system that enables employees and workers to report workplace hazards with ease. They are encouraged to promptly report any safety-related incidents to their respective managers or supervisors.

Incident reports are regularly reviewed during safety committee meetings to identify trends and develop targeted initiatives aimed at improving employee well-being. HFCL has also implemented a structured Incident Investigation and Reporting System to ensure that every incident is thoroughly documented, investigated, and addressed in a fair and unbiased manner.

To further promote workplace safety, the Company conducts regular employee engagement and awareness programs that educate workers on best practices for identifying and reducing potential risks.

Employees can report unsafe acts, unsafe conditions, and near-miss incidents through email, phone calls, or suggestion boxes, facilitating hazard identification and risk assessment for both routine and non-routine activities.

- d. Do the employees/ workers of the entity have access to non-occupational medical and healthcare services? (Yes/No)

Yes. At HFCL, all employees and workers have access to both occupational and non-occupational healthcare services. The Company has partnered with nearby nursing homes and hospitals to provide medical services at discounted rates. In addition, HFCL regularly organises free health check-up camps to support the well-being of its workforce.

11. Details of safety related incidents, in the following format:

Safety Incidents/ Number	Category	Current Financial Year 2024-25	Previous Financial Year 2023-24
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	Nil	Nil
	Workers	Nil	Nil
Total recordable work-related injuries	Employees	Nil	Nil
	Workers	Nil	Nil
Number of fatalities	Employees	1*	Nil
	Workers	Nil	Nil
High consequence work-related injury or ill-health (excluding fatalities)	Employees	Nil	Nil
	Workers	Nil	Nil

*An unfortunate incident occurred at the Hyderabad Plant, in an area that had been cordoned off for expansion activities.

12. Describe the measures taken by the entity to ensure a safe and healthy workplace.

HFCL committed to maintaining Environment, Health, and Safety (EHS) standards that go beyond regulatory compliance, national legislation, and international benchmarks. By adopting global best practices, the Company continuously improve its safety systems and embed a strong safety culture across all operations. Our efforts to ensure a safe and supportive workplace include the following key initiatives:

- **Occupational Health and Safety Management System:** A robust system and policy framework is in place, including mandatory safety inductions and continuous training for all employees and workers.
- **Safety Committee Meetings:** Regular meetings are conducted to review safety concerns, track progress, and design proactive safety initiatives.
- **Emergency Preparedness:** Periodic mock drills are carried out to assess and enhance emergency response capabilities.
- **Daily Safety Walks:** Routine inspections are undertaken to identify risks and reinforce workplace safety standards.
- **Recognition and Rewards:** Employees and workers are recognised and rewarded for actively identifying and reporting safety hazards.
- **Safety Audits:** Internal and external audits are conducted regularly to identify gaps and implement necessary improvements.
- **Fire Safety Systems:** Firefighting and fire protection equipment is installed and maintained at all sites.
- **Personal Protective Equipment (PPE):** Employees and workers are provided with appropriate PPE based on their roles and risk exposure.
- **Work Permit System:** High-risk tasks are controlled through a formal permit-to-work system to ensure safe execution.
- **Incident and Accident Investigations:** All incidents are thoroughly investigated, and corrective actions are implemented to prevent recurrence.
- **Workforce Engagement:** Workforce is encouraged to actively participate and engage in safety-related discussions and initiatives.
- **Periodic Medical Check-ups:** Regular health screenings are conducted to monitor and promote employee well-being.
- **Daily Safety Communications:** Safety messages and updates are shared daily to reinforce awareness and build a strong safety culture.
- **Regular HSE Training:** Ongoing training sessions are held on health, safety, and environmental topics to ensure the workforce is well-informed and equipped to handle both routine and emergency situations safely.

13. Number of complaints on the following made by employees and workers:

	Current Financial Year 2024-25			Previous Financial Year 2023-24		
	Filed during the year	Pending Resolution at end of year	Remarks	Filed during the year	Pending Resolution at end of year	Remarks
Working Conditions	Nil	Nil	The Company has not received any complaints.	Nil	Nil	The Company has not received any complaints.
Health and Safety	Nil	Nil		Nil	Nil	

14. Assessment for the Year (2024-25):

	% of plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and Safety Practices	100% HFCL ensures comprehensive assessment of health and safety practices across its manufacturing facilities through a combination of internal audits, external certifications, and statutory inspections.
Working Conditions	At the Goa facility, the health and safety management system are assessed by a third-party auditor in accordance with ISO 45001 standards, ensuring compliance with global occupational health and safety benchmarks. The Hyderabad Optical Fiber (OF) plant undergoes regular annual assessments by statutory authorities, including the Factories Inspector, Electrical Inspector, and the District Fire Officer. These inspections are conducted to evaluate and ensure adherence to all health and safety regulations. The facility achieves 100% compliance, with all required reports duly compiled and submitted. At the Hyderabad Optical Fiber Cable (OFC) plant, both internal and external audits are carried out to monitor and strengthen the plant's health and safety measures.

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risk/ concerns arising from assessment of health and safety practices and working conditions.

The safety evaluations across the sites have not identified any major concerns. However, any Opportunities for Improvement (OFIs) discovered during audits are promptly addressed. Moreover, HFCL takes near-miss incidents seriously. All gaps identified are managed through a structured Corrective and Preventive Actions (CAPA) process, followed by periodic reviews to ensure the sustained effectiveness of the corrective measures.

Leadership Indicators**1. Does the entity extend any life insurance or compensatory package in the event of death of (A). Employees; and (B). Workers (Yes/No). Provide detail.**

Yes. HFCL offers life insurance coverage to all employees and workers through a Group Term Life Insurance (GTLI) policy, which includes benefits such as coverage for accidental death, disability, critical illness, and support for the employee's family.

2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.

The Company prioritises ethical business practices and regulatory compliance among its service providers. To ensure this, HFCL review their financial and compliance histories by examining financial statements, conducting background checks, and seeking references prior to engagement.

The Company also verifies adherence to essential requirements such as Workmen Compensation policies and insurance, as specified in the terms and conditions of purchase or work orders. In addition to this, all service providers operating at HFCL's plant locations across India are required to submit monthly compliance reports covering statutory employee dues, including income tax, provident fund, professional tax, and ESIC.

3. Provide the number of employees/ workers having suffered high consequence work-related injury/ ill-health/ fatalities (as reported in Qs. 11 of Essential Indicators above), who have been/ are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:

	Total Number of affected employees/ workers		No. of employees/ workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY 2024-25	FY 2023-24	FY 2024-25	FY 2023-24
Employees	1	Nil	Nil	Nil
Workers	Nil	Nil	Nil	Nil

4. Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/No)

Yes. The Company is committed to supporting employees throughout their employment journey by providing relevant skills training and opportunities for knowledge development. At HFCL, in deserving cases, to retain and leverage the specialised skills acquired by employees during their tenure, the Company considers rehiring employees who have reached the age of superannuation. These individuals are engaged in consultant, advisory, or part-time roles. This practice not only extends their employability but also ensures they continue to receive financial benefits while contributing to the achievement of business objectives.

5. Details on assessment of value chain partners (FY 2024-25):

	% of value chain partners (by value of business done with such partners) that were assessed
Health and Safety Practices	HFCL has not conducted any formal audits of value chain partners during FY 2024-25. However, all value chain partners are required to adhere to strict safety protocols as part of the standard operating procedures. This includes mandatory use of safety gear and compliance with established safety guidelines.
Working Conditions	Partners are not permitted to perform any work on site if any discrepancies or non-compliance issues are identified. Furthermore, all work activities conducted by partners take place within customer premises under stringent standard protocols to ensure safety and quality. HFCL also enforces operational restrictions to prevent work during adverse conditions such as poor lighting or hostile weather, thereby minimising risks and ensuring a safe working environment.

6. Provide details of any corrective actions taken or underway to address significant risks/ concerns arising from assessments of health and safety practices and working conditions of value chain partners.

No significant concerns or risks have been identified in relation to the health and safety practices and working conditions of our value chain partners, therefore, no major corrective actions were necessary during this period.

PRINCIPLE 4: Businesses should respect the interests of and be responsive to all its stakeholders.

Essential Indicators

1. Describe the process for identifying key stakeholder groups of the entity.

At HFCL, stakeholders play a critical role in shaping the sustainability vision and long-term business strategy. The Company recognise that understanding and addressing stakeholder expectations is key to building trust, enhancing resilience, and driving shared value.

The Company identifies key internal and external stakeholder groups through a structured stakeholder mapping process, based on the degree of influence they have on HFCL and the extent to which they are impacted by our operations. These groups include employees, workers, suppliers, customers, investors, shareholders, NGOs, CSR partners, and local communities among others.

HFCL adopts a continuous stakeholder engagement approach to assess evolving concerns, expectations, and opportunities for collaboration. Regular engagement, through formal and informal channels, enables the Company to strengthen relationships, build transparency, and integrate stakeholder perspectives into our decision-making.

During FY 2023-2024, HFCL conducted a comprehensive Materiality Assessment involving a wide range of stakeholders, including the leadership team, employees, workers, suppliers, customers, NGO partners, and community representatives. This process helped HFCL prioritise the most material ESG topics and align our initiatives with stakeholder needs and global sustainability standards.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Stakeholder Group	Identified as Vulnerable or Marginalised Group (Yes/No)	Channels of Communication	Frequency of engagement	Purpose and scope of engagement including key topics and concerns raised during each engagement
Employees	No	Website, Emails, In-person meetings, Newsletters, Town halls, Employee surveys	Regular	- Employee perspectives, suggestions, and outlook on business expectations - Initiatives for employee engagement and open communication - Human resource development and capacity-building programs - Targeted skill enhancement and upskilling opportunities - Career advancement and professional growth pathways - Health, safety, and well-being initiatives, including safety trainings - Mental health awareness and support programs - Active employee participation in CSR and community initiatives
Workers	No	Website, Emails, In-person meetings, Newsletters, Town halls, Workforce surveys, Meetings with worker representatives	Regular	- Worker feedback and views on workplace conditions and operational expectations - Engagement on day-to-day concerns and welfare initiatives - Training programs focused on skill development and job-specific capabilities. - Opportunities for role-based growth and long-term employability - Health and safety awareness - Access to healthcare services and periodic medical check-ups - Mental health sensitisation and support mechanisms - Involvement in site-level CSR and community outreach activities
Suppliers	No	Website, Emails, In-person meetings, Newsletters, Supplier survey	Regular	- Supplier feedback on procurement practices, expectations, and timelines - Compliance with applicable laws, regulations, and published standards - Adherence to environmental practices and sustainability requirements - Product-related quality, safety, and performance expectations - Alignment with HFCL's ethical sourcing and responsible procurement standards - Engagement on new initiatives undertaken for suppliers

Stakeholder Group	Identified as Vulnerable or Marginalised Group (Yes/No)	Channels of Communication	Frequency of engagement	Purpose and scope of engagement including key topics and concerns raised during each engagement
Customers (Distributors, Wholesalers, & Retailers)	No	Website, Newsletters, Partner Portal, Customer Service Portal, Emails, SMS	Regular	- Product-related concerns, including quality, packaging, and delivery - Educational engagement and product training sessions - Updates on new product offerings
Communities	Yes	We engage with our CSR project partners and maintain close collaboration with local stakeholders and community leaders in areas where our CSR initiatives are implemented. Feedback, covering expectations, needs, aspirations, complaints, and suggestions, is regularly collected through site visits, phone interactions, and awareness sessions to ensure our efforts remain responsive and impactful.	Regular	- Understanding community needs, expectations, and aspirations related to CSR initiatives - Feedback on gaps in project design, accessibility, and service delivery - Concerns regarding the adequacy of time and resources allocated to address all beneficiaries - Discussions regarding requests for additional services or expansion of project scope as well as issues related to the location and accessibility of service sites - Collection and review of complaints, suggestions, and feedback for continuous improvement
NGOs	No	The specific communication channels and methods are clearly outlined in the respective MoUs signed with each project partner. These typically include email correspondence, telephone conversations, video conferences, and periodic review meetings, as required.	Regular	- Addressing project-related issues, concerns, and implementation challenges - Evaluating the effectiveness and impact of ongoing project operations - Feedback and suggestions to improve resource utilisation and reach more beneficiaries
Investors and Shareholders	No	Investor meetings, conference calls, emails, press releases, newsletters, stock exchange announcements, websites, annual reports and annual general meetings	Regular	- Updates on business and financial performance - Communication on the Company's strategy, growth levers, and potential opportunities and risks - Disclosure of material events that may impact Company performance - Information on ESG goals, initiatives, and progress

Leadership Indicators

1. Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.

At HFCL, stakeholder consultation is a cornerstone of informed decision-making, policy development, and strategic planning. The Company proactively engages with its key stakeholders through designated representatives to gather insights, perspectives, and feedback on critical business initiatives and sustainability priorities. This input is systematically channelled through departmental and unit leadership to the relevant Board Committees, ensuring that stakeholder voices are reflected in high-level deliberations. These Committees evaluate the feedback and, where appropriate, escalate key recommendations to the Board for consideration and strategic action.

2. Whether stakeholder consultation is used to support the identification and management of environmental, and social topic? (Yes/No) If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.

Yes. At HFCL, stakeholder consultation plays a critical role in guiding the identification and management of critical environmental and social topics. As part of the Company's materiality assessment, a structured stakeholder engagement process was carried out to consult all key stakeholder groups, including employees, workers, suppliers, customers, and NGO/CSR project partners. Through this process, HFCL identified and prioritised material environmental and social topics relevant to its business and value chain. The insights gathered were thoroughly reviewed and formed the basis for HFCL's ESG material topics and strategic priorities. These inputs have since been embedded into HFCL's sustainability strategy and continue to shape the development of relevant policies, targets, and initiatives.

3. Provide detail of instances of engagement with, and actions taken to, address the concerns of vulnerable/ marginalised stakeholder groups.

Through its CSR initiatives, HFCL is committed to fostering inclusive growth by addressing the critical needs of marginalized and vulnerable communities, with a strategic focus on healthcare and education.

In the area of healthcare, HFCL partnered with St. Stephen's Patient Welfare Society to facilitate corrective orthopedic surgeries for 92 underprivileged individuals, primarily children, affected by polio-related deformities, clubfoot, and congenital musculoskeletal abnormalities. This initiative restored their mobility and independence, enabling beneficiaries to reintegrate into education and livelihood opportunities.

HFCL also collaborated with the National Heart Institute to support life-saving cardiac surgeries for 40 economically disadvantaged patients suffering from severe cardiovascular conditions. The goal of this initiative was to remove financial barriers to treatment and significantly improved survival outcomes.

To strengthen access to primary and preventive healthcare, HFCL deployed Mobile Medical Units (MMUs) across five geographies: Solan, Goa, Sardarshahar, Ghazipur, and Hyderabad. These units delivered free doorstep healthcare services including general checkups, essential medicines, diagnostic tests, maternal and child health support, and awareness programs. During FY 2024–25, the MMUs reached over 1.32 lakh individuals in underserved communities.

In the field of education, HFCL supported 50 children with intellectual and developmental disabilities at Balwantrai Vidya Bhavan, Delhi by funding academic expenses.

In addition to this, in collaboration with Hari Prem Society, HFCL established five digital learning centres in rural Ghazipur, Uttar Pradesh. These centres provided computer training to youth from economically backward communities, equipping them with essential digital skills to improve employability and support participation in the digital economy.

These initiatives reflect HFCL's continued commitment to creating meaningful, long-term impact by promoting equity, dignity, and opportunity for the most underserved sections of society.

PRINCIPLE 5: Businesses should respect and promote human rights.

Essential Indicators

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:

Category	Current Financial Year 2024-25			Previous Financial Year 2023-24		
	Total (A)	Number (B)	Percentage (%) (B/A)	Total (C)	Number (D)	Percentage (%) (D/C)
Employees						
Permanent	1,748	1,640	94	1,929	1,320	68
Other than permanent	543	218	40	332	101	30
Total Employees	2,291	1,858	81	2,261	1,421	63
Workers						
Permanent	162	131	81	185	107	58
Other than permanent	778	455	58	1,101	284	26
Total Workers	940	586	62	1,286	391	30

2. Details of minimum wages paid to employees and workers, in the following format:

Category	Current Financial Year 2024-25					Previous Financial Year 2023-24				
	Total (A)	Equal to Minimum Wage		More than Minimum Wage		Total (D)	Equal to Minimum Wage		More than Minimum Wage	
		Number (B)	% (B/A)	Number (C)	% (C/A)		Number (E)	% (E/D)	Number (F)	% (F/D)
	Employees									
Permanent	1,748	13	1	1,735	99	1,929	23	1	1,906	99
Male	1,634	11	1	1,623	99	1,803	19	1	1,784	99
Female	114	2	2	112	98	126	4	3	122	97
Other than Permanent	543	178	33	365	67	332	42	13	290	87
Male	533	171	32	362	68	325	38	12	287	88
Female	10	7	70	3	30	7	4	57	3	43
	Workers									
Permanent	162	12	7	150	93	185	21	11	164	89
Male	142	8	6	134	94	160	16	10	144	90
Female	20	4	20	16	80	25	5	20	20	80
Other than Permanent	778	454	58	324	42	1,101	673	61	428	39
Male	727	405	56	322	44	1,035	611	59	424	41
Female	51	49	96	2	4	66	62	94	4	6

3. Details of remuneration/ salary/ wages, in the following format for FY 2024-25:

a. Median remuneration/ wages:

	Male		Female	
	Number	Median salary/ wage of respective category (in ₹)	Number	Median salary/ wage of respective category (in ₹)
Board of Directors (BoD)*	4	12,37,500**	1	3,75,000
Key Managerial Personnel (KMP)***	3	3,36,35,439	0	-
Employees other than BoD and KMP	2,164	7,69,111	124	9,00,015
Workers	869	3,15,289	71	2,71,956

*Excluding Managing Director who has been included in Key Managerial Personnel category.

**The payment of sitting fees only made to non-executive directors of the Company including independent directors for attending the meetings of the Board and its various Committees, during the year under review, have been considered.

*** Key Managerial personnel comprise of Mr. Mahendra Nahata, Managing Director, Mr. Vijay Raj Jain, Chief Financial Officer and Mr. Manoj Baid, President & Company Secretary.

b. Gross wages paid to females as % of total wages paid by the entity, in the following format:

	Current Financial Year 2024-25	Previous Financial Year 2023-24
Gross wages paid to females as % of total wages	4.60%	4.90%

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

The Board of Directors at HFCL has adopted a Whistle-Blower Policy to promote a culture of integrity and accountability. This policy encourages directors and employees to report any unethical conduct, illegal activities, questionable practices, or suspected violations of the Company's Codes of Conduct for Directors and Senior Management Personnel.

Serving as a formal Vigil Mechanism, the policy provides a secure channel for stakeholders, including employees and their representatives, to raise concerns about misconduct or unethical behaviour, including any human rights-related concerns, without fear of retaliation.

In addition, HFCL has constituted Internal Complaints Committees (ICCs) at every workplace in accordance with the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, to ensure timely and effective resolution of complaints related to sexual harassment.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

HFCL has implemented key policies such as the Code of Conduct, Whistle Blower Policy, Grievance Redressal Policy, and the Prevention of Sexual Harassment (POSH) Policy to uphold human rights and comply with labour regulations.

Grievances raised by employees and workers are addressed in accordance with the Company's Whistleblower Policy. These are directed to the designated Vigilance Officer, who is responsible for conducting a fair and impartial investigation, should the need arise. Any findings are to be reported to the Audit Committee for review and appropriate action. The entire process is governed by principles of confidentiality, transparency, and fairness, ensuring the integrity of the mechanism and reinforcing trust in the system.

6. Number of complaints on the following made by employees and workers:

	Current Financial Year 2024-25			Previous Financial Year 2023-24		
	Filed during the year	Pending resolution at end of year	Remarks	Filed during the year	Pending resolution at end of year	Remarks
Sexual Harassment	Nil	Nil	NA	Nil	Nil	NA
Discrimination at workplace	Nil	Nil	NA	Nil	Nil	NA
Child Labour	Nil	Nil	NA	Nil	Nil	NA
Forced Labour/ Involuntary Labour	Nil	Nil	NA	Nil	Nil	NA
Wages	Nil	Nil	NA	Nil	Nil	NA
Other human rights related issues	Nil	Nil	NA	Nil	Nil	NA

7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 in the following format:

	Current Financial Year 2024-25	Previous Financial Year 2023-24
Total complaints reported under Sexual Harassment on Women at Workplace (Prevention, Prohibition, and Redressal) Act, 2013 (POSH)	Nil	Nil
Complaints on POSH as a % of female employees/ workers		
Complaints on POSH upheld		

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

HFCL ensures that all complaints related to discrimination and harassment are handled with fairness, sensitivity, and strict adherence to due process. Members of the Internal Complaints Committee (ICC) are equipped with the necessary expertise and experience to manage such cases effectively, in accordance with the POSH Policy, Whistle Blower Policy, and the Company's grievance redressal mechanism.

Upholding the *Principle of Natural Justice* is fundamental to the functioning of the ICC, ensuring that every complainant is treated with respect and impartiality. Under the Whistle Blower Policy, the Company provides enhanced protection to complainants to safeguard them from any form of retaliation or adverse impact on their employment. These measures reflect HFCL's commitment to creating a safe and equitable work environment where individuals can raise concerns without fear of victimisation.

9. Do human rights requirements form part of your business agreements and contracts? (Yes/No)

Yes. HFCL ensures that all agreements and contracts include specific clauses mandating compliance with applicable labour laws. Service contracts with vendors also require them to submit relevant certifications and demonstrate adherence to statutory labour regulations as a condition of engagement.

10. Assessments for the year FY 2024-25:

	% of plants and offices that were assessed (by entity or statutory authorities or third parties)
Child Labour	
Forced/ Involuntary Labour	
Sexual harassment	
Discrimination at workplace	Nil
Wages	
Others - please specify	

11. Provide details of any corrective actions taken or underway to address significant risks/ concerns arising from the assessments at Qs. 9, above.

Not applicable since no assessment was conducted.

Leadership Indicators

1. Details of a business process being modified/ introduced as a result of addressing human rights grievances/complaints.

No Complaints have been received for human rights violation in the FY 2024-25.

Further, the Company ensures all procedures related to Equal Employment Opportunity (EEO), Prevention of Sexual Harassment (POSH), and grievance redressal strictly adhere to the following principles:

- Strict confidentiality of all proceedings is maintained
- Assurance against any form of retaliation provided
- Fairness is upheld consistently throughout the entire process

2. Details of the scope and coverage of any Human Rights due diligence conducted.

HFCL has not conducted a formal Human Rights Due Diligence assessment during the reporting period. However, the Company maintains a comprehensive Human Rights Policy that all employees and workers are required to follow and uphold.

3. Is the premise/ office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

HFCL is committed to ensuring accessibility for individuals with disabilities. Wheelchairs and ramps are available at several office locations and plant sites. The Company is actively working towards making all remaining premises fully accessible for differently abled visitors by progressively introducing appropriate facilities. Braille signage has been installed at entry and exit points as well as in elevators. Further, most of the facilities are equipped with specially designated restrooms featuring guardrails to support ease of use for differently abled individuals.

4. Details on assessment of Value Chain Partners:

	% of value chain partners (by value of business done with such partners) that were assessed:
Child Labour	Nil
Forced/ Involuntary Labour	
Sexual harassment	
Discrimination at workplace	
Wages	
Others- please specify	

5. Provide details of any corrective actions taken or underway to address significant risks/ concerns arising from the assessment at Qs. 4 above.

Not Applicable since no assessment was conducted.

PRINCIPLE 6: Businesses should respect and make efforts to protect and restore the environment.

Essential Indicators

1. Details of total energy consumption (in GJ) and energy intensity, in the following format:

Parameter	Current Financial Year 2024-25	Previous Financial Year 2023-24 ⁵
From 'Renewable Sources'		
Total Electricity Consumption (A)	0	0
Total Fuel Consumption (B)	0	0
Energy consumption through Other Sources (C)	0	0
Total Energy Consumption from renewable sources (A+B+C)	0	0
From 'Non-Renewable Sources'		
Total Electricity Consumption (D)	98,255	111,295
Total Fuel Consumption (E)	3,503*	6,218
Energy consumption through Other Sources (F)	0	0
Total Energy Consumption from non-renewable sources (D+E+F)	101,758	117,513
Total Energy Consumed (A+B+C+D+E+F)	101,758	117,513

Parameter	Current Financial Year 2024-25	Previous Financial Year 2023-24 [§]
Energy intensity per rupee of turnover (GJ / ₹) (Total energy consumption/ Revenue from operations)	0.0000027	0.000028
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (GJ/\$) (Total energy consumed/ Revenue from operations adjusted for PPP)	0.000055	0.000058**
Energy intensity in terms of physical output (Energy consumed GJ per km of the OFC Production)	0.3362	0.3211***

Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Yes/No). If "Yes", name the external agency: No

[§] The values for FY 2023-24 have been restated to incorporate energy consumption at the Solan Plant.

* For FY 2024-25, energy consumption from diesel used in DG sets at HFCL's Haryana Offices: Building 28, Sector 32, Gurugram; Building No. 38, Sector 38, Gurugram; Building 32, Sector 32 and Karnataka Office (Bangalore) has been estimated based on the electricity output generated by the DG sets during the year. Fuel consumption declined in FY 2024-25 due to lower production at the Goa plant and reduced forklift usage. In addition to this, a significant reduction in power interruptions at the Hyderabad Optical Fiber plant in FY 2023-24 led to over a 50% decrease in DG operating hours, thereby reducing diesel consumption.

**The revenue from operations has been adjusted for PPP based on the latest PPP conversion factor published for the year 2025 by IMF for India which is 20.66. The intensity adjusted for PPP has been restated following the guidelines set forth in SEBI Circular No. SEBI/HO/CFD/CFD-POD-1/P/CIR/2024/177 dated December 20, 2024, titled "Industry Standards on Reporting of BRSR Core". The same PPP conversion rate (20.66) is used in intensity ratio calculations across Principle 6 for financial year 2024-25 and is also updated for previous year (2023-24).

***For the FY 2023-24, the energy intensity in terms of physical output has been restated to align with SEBI Circular No. SEBI/HO/CFD/CFD-PoD-1/P/CIR/2024/177 dated December 20, 2024, titled "Industry Standards on Reporting of BRSR Core".

2. Does the entity have any sites/ facilities identified as designated consumers (DCs) under the Performance, Achieve, and Trade (PAT) Scheme of the Government of India? (Yes/No) If yes, disclose whether targets set under the PAT Scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

Not Applicable as none of our sites come under PAT Scheme as Designated Consumers (DCs).

3. Provide details of the following disclosures related to water, in the following format:

Parameter	Current Financial Year 2024-25	Previous Financial Year 2023-24 [§]
Water withdrawal by source (in kilolitres- kl)		
(i) Surface Water	0	0
(ii) Groundwater	1,06,921*	6,016
(iii) Third Party Water	58,559	82,753
(iv) Seawater/ Desalinated water	0	0
(v) Others (Please specify)	322	19,651
Total Volume of water withdrawal (in kl) (i + ii + iii + iv + v)	165,802**	108,420
Total volume of water consumption (in kl)	165,802	108,420
Water intensity per rupee of turnover (kL/₹) (water consumed/ Revenue from operations)	0.0000044	0.0000026
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (kL/\$) (Total water consumption/ Revenue from operations adjusted for PPP)	0.000090	0.000054***
Water intensity in terms of physical output (Water consumed in kl per km of the OFC Production)	0.55	0.30****

Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Yes/No). If "Yes", name the external agency: No

[§] The values for FY 2023-24 have been restated to incorporate water withdrawal at the Solan Plant.

* The increase in overall groundwater consumption is attributable to the authorization granted for expanded groundwater abstraction at the Hyderabad plant by the concerned authority.

**For the FY 2024-25, water withdrawal at administrative offices has been estimated using the apportionment method, based on per capita water withdrawal figures from four office locations: Building 28, Sector 32, Gurugram; Building No. 38, Sector 38, Gurugram; Plot No. 229, Udyog Vihar Phase 1, Sector 20, Gurugram; and 8, Commercial Complex, Masjid Moth, Greater Kailash – II, New Delhi.

*** The revenue from operations has been adjusted for PPP based on the latest PPP conversion factor published for the year 2025 by IMF for India which is 20.66. The intensity adjusted for PPP has been restated following the guidelines set forth in SEBI Circular No. SEBI/HO/CFD/CFD-POD-1/P/CIR/2024/177 dated December 20, 2024, titled "Industry Standards on Reporting of BRSR Core". The same PPP conversion rate (20.66) is used in intensity ratio calculations across Principle 6 for financial year 2024-25 and is also updated for previous year (2023-24).

****For the FY 2023-24, the water intensity in terms of physical output has been restated to align with SEBI Circular No. SEBI/HO/CFD/CFD-PoD-1/P/CIR/2024/177 dated December 20, 2024, titled "Industry Standards on Reporting of BRSR Core".

4. Provide the following details related to water discharge:

Parameter	Current Financial Year 2024-25	Previous Financial Year 2023-24
Water discharge by destination and level of treatment (in kiloliters)		
(i) To Surface Water		
- No treatment	HFCL manufacturing facilities have implemented Zero Liquid Discharge (ZLD) through the installation of Sewage Treatment Plants (STPs) and Effluent Treatment Plants (ETPs), utilizing preliminary, primary, secondary, and tertiary treatment processes to effectively remove contaminants. Treated wastewater is reused on-site for gardening and washroom purposes, where applicable. In addition to this, the sludge generated is treated to meet microbial standards and disposed of in a scientifically responsible and regulatory-compliant manner.	
- With treatment- please specify level of treatment		
(ii) To Ground Water		
- No treatment	Wastewater discharge from administrative offices was not monitored during the reporting year, however, the Company is committed to initiating wastewater discharge monitoring at these locations in the future, subject to feasibility assessments.	
- With treatment- please specify level of treatment		
(iii) To Sea water		
- No treatment		
- With treatment- please specify level of treatment		
(iv) Sent to Third Parties		
- No treatment		
- With treatment- please specify level of treatment		
(v) Others		
- No treatment		
- With treatment- please specify level of treatment		
Total water discharged (in kiloliters)		

Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Yes/No). If "Yes", name the external agency: No

5. Has the entity implemented a mechanism for Zero Liquid Discharge (ZLD)? If yes, provide details of its coverage and implementation.

Yes. HFCL has implemented Zero Liquid Discharge (ZLD) systems across all its manufacturing facilities. Through Effluent Treatment Plants (ETPs) and Sewage Treatment Plants (STPs), comprehensive wastewater treatment systems are in place to ensure that no untreated water is discharged from any site. All treated water is effectively recycled and reused for non-potable purposes such as gardening and sanitation. This approach is aligned with HFCL's commitment to environmental sustainability and responsible water management objective.

6. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

Parameter	Please specify unit	Current Financial Year 2024-25	Previous Financial Year 2023-24 *
NOx	Tons/year	0.06	0.25
SOx	Tons/year	0.56	1.49
Particulate Matter (PM)	Tons/year	0.02	0.08
Persistent organic pollutant (POP)		Not applicable	
Volatile organic compounds (VOC)			
Hazardous air pollutant (HAP)			
Others- ODS			

Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Yes/No). If "Yes", name the external agency: No

*The air emissions from previous year have been restated owing to the change in the calculation methodology.

7. Please provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) and its intensity, in the following format:

Parameter	Please specify unit	Current Financial Year 2024-25	Previous Financial Year 2023-24 [§]
Total Scope 1 Emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	3,572*	1,327
Total Scope 2 Emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	19,842	22,135
Total Scope 1 and Scope 2 emissions per revenue from operations	MTCO ₂ e/₹	0.00000062	0.00000056
Total Scope 1 and Scope 2 emissions per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total Scope 1 & 2 emissions/ Revenue from operations adjusted for PPP)	MTCO ₂ e/\$	0.000013	0.000012**
Total Scope 1 and Scope 2 emission intensity in terms of physical output	(MTCO ₂ e/ per km of the OFC Production)	0.08	0.06***

Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Yes/No). If "Yes", name the external agency. No

[§] The values for FY 2023-24 have been restated to incorporate Scope 1 and 2 emissions from Solan Plant.

*Scope 1 emissions increased due to a rise in necessary refrigerant gas refills associated with routine maintenance and unplanned equipment breakdown.

** The revenue from operations has been adjusted for PPP based on the latest PPP conversion factor published for the year 2025 by IMF for India which is 20.66. The intensity adjusted for PPP has been restated following the guidelines set forth in SEBI Circular No. SEBI/HO/CFD/CFD-PoD-1/P/CIR/2024/177 dated December 20, 2024, titled "Industry Standards on Reporting of BRSR Core". The same PPP conversion rate (20.66) is used in intensity ratio calculations across Principle 6 for financial year 2024-25 and is also updated for previous year (2023-24).

*** For the FY 2023-24, the Scope 1 and 2 emission intensity in terms of physical output has been restated to align with SEBI Circular No. SEBI/HO/CFD/CFD-PoD-1/P/CIR/2024/177 dated December 20, 2024, titled "Industry Standards on Reporting of BRSR Core".

8. Does the entity have any project related to reducing Greenhouse gas emissions? If Yes, then provide details.

HFCL is committed to environmental protection and actively works to reduce the carbon footprint of its operations through a range of energy efficiency initiatives and sustainable technologies. The Company has implemented various measures aimed at lowering its Greenhouse Gas (GHG) emissions across product manufacturing, packaging/storage, and transportation. Some of the key initiatives include:

- **Energy-efficient lighting:** All HFCL plants are equipped with LED luminaires to reduce energy consumption. The office building for the Optical Fiber Plant is designed with a double-layer glass facade to minimise light and cooling requirements. At Goa Plant, the transition from UV to LED resulted in saving 7 lakh units of electricity.
- **High-efficiency UPS systems:** Installed with 96% efficiency to optimise power usage.
- **Natural ventilation:** The Cable Plant features provisions for natural air and light, reducing the need for artificial cooling and illumination. Cross air ventilation and turbo ventilators, along with 2-inch rockwool insulation, further enhance energy efficiency.
- **Renewable energy integration:** The Company has planned to source electricity from renewable sources, such as solar power.
- **Optimised cooling systems:** Humidifiers are designed with high-efficiency Humifog systems, and cooling tower fans and pumps are controlled by temperature controllers to conserve energy.
- **Energy-efficient air systems:** All air handling units are equipped with high-efficiency DIDW fans with VFD drives to optimise energy consumption.
- **Energy-efficient utilities:** The entire utility system is monitored and controlled through a Smart BMS (Building Management System) for real-time monitoring of critical parameters and optimal energy use.
- **Material and transportation optimisation:** HFCL has reduced the cable diameter and thickness in product development to lower material consumption and saved transportation fuel by accommodating more lengths of optical fiber cables in the same vehicle/container.
- **Energy-efficient products:** HFCL is developing next-generation energy-efficient solutions, including wireless point-to-point connectivity solutions and 5G wireless radio products, such as indoor and outdoor FWA CPE products covering both Sub 6 GHz and mmWave. In addition, the portfolio includes Access Routers/Cell Site Routers, Pre-Aggregation Routers, and Aggregation Routers for backhauling of 5G traffic.

9. Provide details related to waste management by the entity, in the following format:

Parameter	Current Financial Year 2024-25	Previous Financial Year 2023-24
Total Waste Generated (in metric Tonnes)		
Plastic Waste (A)	521	615
E-Waste (B)	0.10	0.61
Bio-medical Waste (C)	0	0
Construction and Demolition (C&D) Waste (D)	253	167
Battery Waste (E)	0.14	14
Radioactive Waste (F)	0	0
Other Hazardous Waste generated (G) (Please specify, if any)	70	61
Other Non-Hazardous Waste generated (H) (Please specify, if any)	533*	649
Total Waste Generated (A+B+C+D+E+F+G+H)	1,377	1,507
Waste intensity per revenue from operations (MT/₹) (Total waste generated/ Revenue from operations)	0.00000004	0.00000004
Waste intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (MT/\$) (Total waste generated/ Revenue from operations adjusted for PPP)	0.00000075	0.00000075**
Waste intensity in terms of physical output (Waste generated in MT per km of the OFC Production)	0.005	0.004***
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
Category Waste		
(i) Recycled	1008	1,268
(ii) Re-used	0	7
(iii) Other recovery operations	78	62
Total	1086	1,337
For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)		
Category Waste		
(i) Incineration	2	2
(ii) Landfilling	293	110
(iii) Other disposal operations	0	58
Total	295	170

Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Yes/No). If "Yes", name the external agency. No

* For the FY 2024-25, waste generation at administrative offices has been estimated using the apportionment method, based on per capita waste generation figures from four office locations: Building 28, Sector 32, Gurugram; Building No. 38, Sector 38, Gurugram; Plot No. 229, Udyog Vihar Phase 1, Sector 20, Gurugram; and 8, Commercial Complex, Masjid Moth, Greater Kailash – II, New Delhi.

** The revenue from operations has been adjusted for PPP based on the latest PPP conversion factor published for the year 2025 by IMF for India which is 20.66. The intensity adjusted for PPP has been restated following the guidelines set forth in SEBI Circular No. SEBI/HO/CFD/CFD-PoD-1/P/CIR/2024/177 dated December 20, 2024, titled "Industry Standards on Reporting of BRSR Core". The same PPP conversion rate (20.66) is used in intensity ratio calculations across Principle 6 for financial year 2024-25 and is also updated for previous year (2023-24).

***For the FY 2023-24, the waste intensity in terms of physical output has been restated to align with SEBI Circular No. SEBI/HO/CFD/CFD-PoD-1/P/CIR/2024/177 dated December 20, 2024, titled "Industry Standards on Reporting of BRSR Core".

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your Company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

HFCL has implemented a comprehensive waste management plan across all its operational locations, reflecting its commitment to environmental responsibility and circularity. Waste is systematically categorised and segregated at the source to ensure efficient handling and processing. Hazardous waste is collected, transported, and disposed of through Central Pollution Control Board (CPCB)-authorised vendors in strict compliance with regulatory norms. Non-hazardous waste is either recycled, reused within operations where feasible, or processed through authorised external agencies using environmentally appropriate mechanisms.

HFCL also prioritises the reduction of hazardous and toxic substances in its products and processes. All raw materials used in the manufacturing of Optical Fiber and Optical Fiber Cables are fully compliant with Restriction of Hazardous Substances (RoHS) and Registration, Evaluation, Authorisation and Restriction of Chemicals (REACH) regulations. The Company has proactively upgraded its RoHS compliance in alignment with Directive 2015/863 (EU), which includes four additional restricted substances. Furthermore, HFCL ensures that none of its materials contain substances listed in the Candidate List of Substances of Very High Concern (SVHC), as published by ECHA on 07, January, 2023.

To further reduce environmental impact, HFCL has shifted towards sustainable product design by significantly minimising the use of petroleum-based jelly compounds. Approximately 90% of its cable designs now incorporate dry core construction and dry water-blocking materials, promoting cleaner manufacturing and safer handling. Through these integrated waste management and chemical reduction strategies, HFCL continues to advance its sustainability agenda while ensuring compliance with evolving global environmental standards.

- 11. If the entity has operations/ offices in & around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones, etc.) where environmental approvals/ clearances are required, please specify details in the following format:**

S. No.	Location of operations/ offices	Type of operations	Whether the conditions of environmental approval/ clearance are being complied with? (Yes/No) If "No", the reasons thereof and corrective action taken, if any.
Not Applicable as none of our sites are in ecologically sensitive areas.			

- 12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year 2024-25:**

Name and brief of the project	EIA Notification No.	Date	Whether conducted by independent agency (Yes/No)	Results communicated in public domain (Yes/No)	Relevant Web-link
Not Applicable					

- 13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment Protection Act and Rules thereunder (Yes/ No). If "Not", provide details of all such non-compliances, in the following format:**

S. No.	Specify the law/ regulation/ guidelines which is not compliant	Provide details of the non-compliance	Any fines/ penalties/ action taken by regulatory agencies such as pollution control board or by courts	Corrective action taken, if any
The Company's operations and offices are fully compliant with all applicable environmental regulations in the Country. Activities are conducted in strict adherence to the conditions specified in the Consent to Operate (CTO) granted by the Central and State Pollution Control Boards. There have been no reported instances of non-compliance from any regulatory authority.				

Leadership Indicators

- 1. Water withdrawal, consumption, and discharge in areas of 'Water Stress' (in kilo litres):**

For each facility/ plant located in areas of water stress, provide the following information:

- Name of area** – HFCL Telecom Plant at Manesar, HFCL Haryana Offices: (Building 28, Sector 32, Gurugram; Building No. 38, Sector 38, Gurugram; Plot No. 229, Udyog Vihar Phase 1, Sector 20, Gurugram), HFCL Corporate Office Delhi (8, Commercial Complex, Masjid Moth, Greater Kailash – II, New Delhi), Jharkhand Office - Ranchi, Punjab Office - Ferozepur, Ludhiana, UP Office - Lucknow, Rajasthan Office- Jaipur, Karnataka Office - Bangalore
- Nature of operations** – Office/Plant Locations

iii. Water withdrawal, consumption, and discharge in the following format:

Parameter	Current Financial Year 2024-25	Previous Financial Year 2023-24
Water withdrawal by source (in kilo litres)		
(i) Surface Water	0	0
(ii) Ground Water	0	0
(iii) Third Party Water	39,168	42,181*
(iv) Seawater/ Desalinated Water	0	0
(v) Others	0	0
Total volume of water withdrawal (in kl)	39,168	42,181
Total volume of water consumption (in kl)	39,168	42,181
Water intensity per rupee of turnover (kl/ ₹) (Water consumed/ Turnover)	0.00000103	0.00000101
Water discharge by destination and level of treatment (in Kilo litres)		
(i) To Surface Water		
- No treatment		
- With treatment- please specify level of treatment		
(ii) To Ground Water		
- No treatment		
- With treatment- please specify level of treatment		
(iii) Sent to Third Party Water		
- No treatment		
- With treatment- please specify level of treatment		
(iv) Into Seawater		
- No treatment		
- With treatment- please specify level of treatment		
(v) Others		
- No treatment		
- With treatment- please specify level of treatment		
Total water discharged. (kl)		

Water discharge from administrative offices/Manesar telecom equipment facility was not monitored during the reporting year, however, the Company is committed to initiating water discharge monitoring at these locations in the future, subject to feasibility assessments.

Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Yes/No). If "Yes", name the external agency. No

*For the FY 23-24, the water withdrawal of the following location in water stress area has not been reported due to the unavailability of data: HFCL Jharkhand Office-Ranchi, HFCL Punjab Office- Ferozepur, HFCL Punjab Office- Ludhiana, HFCL UP Office- Lucknow, HFCL Rajasthan Office- Jaipur.

2. Please provide details of total Scope 3 emissions and its intensity, in the following format:

Parameter	Please specify unit	Current Financial Year 2024-25	Previous Financial Year 2023-24
Total Scope 3 Emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	73,611	79,586
Total Scope 3 emissions per rupee of turnover	MTCO ₂ e/INR	0.0000019	0.0000019
Total Scope 3 emission intensity in terms of physical output	MTCO ₂ e/km of the OFC Production	0.243	0.217

Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Yes/No). If "Yes", name the external agency. No

3. With respect to the ecologically sensitive areas reported in Qs. 10 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along with prevention and remediation activities.

Not Applicable

4. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions/ effluent discharge/ waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:

S. No.	Initiative undertaken in FY 2024-25	Details of the initiative (Web-link, if any, may be provided along with summary)	Outcome of the Initiative
1.	Interlocking of auxiliary equipment at Goa Plant	Pumps and blowers are interlocked with the extruder used in the sheathing process.	When the extruder remains idle for a certain period, the pumps and blowers automatically shut down to conserve energy.
2.	Energy Optimization in Nitrogen Plant at Goa	Transitioned from desiccant air dryers to refrigerant-based dryers in the nitrogen plant.	Achieved a 10% reduction in purge air loss without compromising nitrogen purity.
3.	Pressure Regulating Valve installed at Goa Plant	Installed to control and maintain the desired pressure level within the system.	Reduced the overall plant air pressure from 7 kg/cm ² to 6 kg/cm ² , resulting in a 7% power saving.
4.	Removal of Non-Critical Loads from DG Sets at Goa Plant	Non-critical loads have been identified and disconnected from diesel generator sets.	During power outages, these non-essential loads no longer draw power from the DGs, enhancing efficiency.
5.	Nature Light Automation at Hyderabad Optical Fiber Cable Plant	Installed Lux sensors on all Hyderabad OFC plant and streetlights to automatically adjust light intensity based on ambient conditions.	
6.	Integration of Variable Frequency Drives (VFD) at Hyderabad Optical Fiber Cable Plant	Commissioned VFD pumps to optimize water circulation, improving energy efficiency.	Achieved a 12.04% reduction in power consumption in FY 2024-25 compared to FY 2023-24.
7.	Segregation of High and Low-Pressure Air Pipelines at Hyderabad Optical Fiber Cable Plant	Separated air pipelines to reduce the load on compressors, enhancing operational efficiency.	
8.	Elimination of Material Loader on Sheathing Lines at Hyderabad Optical Fiber Cable Plant	Removed one material loader by directly mounting the preheater onto the extruder hopper, streamlining the process.	
9.	FTTH Scrap Reduction at Hyderabad Optical Fiber Cable Plant	Implemented measures to reduce scrap generation for 1F ARP BK FTTH Cable caused by leftover cable on the mother spool.	• Baseline scrap rate: 1.12% • Current average scrap rate: 0.33%
10.	Reduction in Inkjet Printing Consumables	Optimized processes to decrease the consumption of inkjet printing ink and solvent per 10,000 characters printed.	• Baseline ink consumption: 0.19 ml • Current average ink consumption: 0.17 ml • Baseline solvent consumption: 0.57 ml • Current average solvent consumption: 0.39 ml

5. Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web-link.

HFCL has a well-established Business Continuity and Disaster Management Plan to ensure operational resilience and preparedness for unforeseen disruptions. The Company is certified under ISO 22301:2019 for its Goa plant, reflecting its alignment with international best practices in business continuity management. Detailed Standard Operating Procedures have been developed covering business continuity, disaster recovery, and emergency response. These frameworks are designed to minimise downtime, safeguard critical operations, and ensure the safety of personnel and assets. To maintain the effectiveness of these plans, HFCL conducts periodic training sessions, drills, and awareness programs across relevant teams. Regular testing and mock exercises are carried out to evaluate the efficiency of the plans and identify areas for continuous improvement. Through this structured approach, HFCL ensures that it remains well-prepared to respond swiftly and effectively to potential disruptions while maintaining continuity in essential operations.

6. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard.

HFCL is committed to building strategic partnerships across our value chain by engaging with vendors who demonstrate a shared commitment to environmental, social, and governance responsibility. We actively monitor potential risks within our value chain. During the FY 2024-25, no adverse impacts to the environment have been identified across the value chain.

7. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

Nil

8. How many "Green Credits" have been generated or procured:

a. By the listed entity.

b. By the top ten (in terms of the value of purchases and sales, respectively) value chain partners.

In the FY 2024-25, there have been no credits generated/ purchased by HFCL. In addition to this, information related to "Green Credits" generated or procured by the top ten value chain partners, based on purchase and sales value, is not available with HFCL at present. The Company is committed to establishing and maintaining comprehensive records of "Green Credits" for its value chain partners going forward.

PRINCIPLE 7: Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent.

Essential Indicators

1. (a). Number of affiliations with trade and industry chambers/ associations.

9

(b). List the top 10 trade and industry chambers/ associations (determined based on the total numbers of such body) the entity is member of/ affiliated to.

S. No.	Name the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/ National)
1.	The Associated Chambers of Commerce and Industry of India (ASSOCHAM)	National
2.	Federation of Indian Chamber of Commerce and Industry (FICCI)	National
3.	Confederation of Indian Industry (CII)	National
4.	Telecom Equipment Manufacturers Association of India	National
5.	Telecom Equipment and Services Export Promotion Council	National
6.	Voice of Indian Communication Technology New Delhi	National
7.	Telecom Standards Development Society, India (TSDSI)	National
8.	Bharat 6G Alliance	National
9.	Goa Chamber of Commerce and Industry and Verna Industrial Association	State

2. Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the entity, based on adverse orders from regulatory authorities.

Name of authority	Brief of the Case	Corrective action taken
During FY25, there were no reported cases of anti-competitive behaviour, therefore, no corrective measures have been required.		
HFCL holds the distinction of being the only Indian Company against which the European Commission has not imposed an anti-dumping duty on the export of Optical Fiber Cables (OFC) to European countries. Following a comprehensive investigation, the European Commission, in a landmark ruling dated October 11, 2024, concluded that HFCL and its subsidiary, HTL, were not involved in dumping OFC in the European market.		
This outcome positions HFCL as the sole Indian OFC manufacturer exempted from anti-dumping duties by the European Commission, underscoring the Company's steadfast commitment to fair trade, regulatory compliance, and ethical business practices.		

Leadership Indicators

1. Details of public policy positions advocated by the entity:

S. No.	Public policy advocated	Method resorted for such advocacy	Whether information available in public domain (Yes/No)	Frequency of Review by Board	Web Link, if available
	HFCL actively engages in policy advocacy through participation in key industry associations and forums, driving positive change for both sectoral advancement and broader societal benefit. The Company collaborates with strategic communities such as the Telecom Standards Development Society, India (TSDSI), and the Bharat 6G Alliance. These platforms bring together mobile network operators, technology vendors, and research institutions to promote innovation and sustainability within the radio access network ecosystem. By contributing to the development of next-generation, energy-efficient technologies and standards, HFCL supports the creation of a more resilient, inclusive, and future-ready digital infrastructure. The Company's AI-enabled intelligent Macro RU use case was recognized by ITU's AI for Good platform and nominated for the prestigious SAIL award, showcasing our leadership in applying AI for next-generation networks.				

PRINCIPLE 8: Businesses should promote inclusive growth and equitable development.

Essential Indicators

1. Details of Social Impact Assessments (SIA) projects undertaken by the entity based on applicable laws, in the current financial year 2024-25:

Name and brief detail of project	SIA Notification No.	Date of notification	Whether conducted by independent external agency (Yes/ No)	Results communicated in public domain (Yes/No)	Relevant web-link
Not Applicable					

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:

S. No.	Name of the project for which R&R is ongoing	State	District	No. of project affected families (PAFs)	% of PAFs covered by R&R	Amounts paid to PAFs in the FY (in ₹)
Not Applicable						

3. Describe the mechanisms to receive and redress grievances of the community.

At HFCL, community grievance redressal is embedded within our CSR implementation framework. As per the provisions of the Memorandums of Understanding (MoUs), CSR project partners are responsible for addressing community concerns in line with their defined protocols. Each project is supported by designated Social Protection Officer & Project Coordinator to ensure effective implementation and timely resolution of issues.

At HFCL, we maintain continuous engagement with local communities through regular telephonic communication and on-site visits, enabling direct interaction with community leaders. Feedback, grievances, and suggestions received from beneficiaries are promptly escalated to the respective project partners. Upon resolution, partners submit detailed reports to HFCL outlining the actions taken, preventive measures implemented, and the overall redressal process. This approach ensures transparency, accountability, and alignment with community expectations.

4. Percentage of input material (input to total inputs by value) sourced from suppliers:

	Current Financial Year 2024-25	Previous Financial Year 2023-24
Directly sourced from MSMEs/ Small producers	16%	16%
Directly from within India	50%	45%

5. Job creation in smaller towns: Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent/ on contract basis) in the following locations, as % of the total wage cost:

Location	Current Financial Year 2024-25	Previous Financial Year 2023-24
Rural	1%	5%
Semi-Urban	6%	6%
Urban	30%	20%
Metropolitan	63%	69%

Note: Place categorised as per RBI Classification System- rural/ semi-urban/ urban/ metropolitan

Leadership Indicators

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference Qs. 1 of Essential Indicators, above).

Details of negative social impact identified	Corrective action taken
Not Applicable	

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies:

S. No.	State	Aspirational District	Amount Spent (in ₹)
HFCL does not currently have any projects running in Aspirational Districts.			

3. (a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalised/ vulnerable groups? (Yes/No)
No, HFCL does not have a formal preferential procurement policy. However, the Company actively supports and encourages procurement from MSMEs and small-scale producers within India.
- (b) From which marginalised/ vulnerable groups do you procure?
Nil
- (c) What percentage of total procurement (by value) does it constitute?
Nil

4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year 2024-25), based on traditional knowledge:

S. No.	Intellectual Property based on traditional knowledge	Owned/ Acquired (Yes/No)	Benefit Shared (Yes/ No)	Basis of calculating benefit share
No such benefits derived and shared in FY 24 -25 based on traditional knowledge.				

5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved.

Name of authority	Brief of Case	Corrective action taken
Not Applicable		

6. Details of beneficiaries of CSR Projects:

S. No.	CSR Project	No. of persons benefited from CSR Projects	% Beneficiaries from vulnerable & marginalised groups
1	Advanced Healthcare – Corrective Surgeries for Polio-Related Deformities, Clubfoot, and Other Congenital Abnormalities In collaboration with St. Stephen's Patient Welfare Society , this initiative facilitated transformative orthopaedic surgeries for individuals mostly children suffering from debilitating polio-related deformities, clubfoot, and congenital musculoskeletal anomalies. The procedures were led by Dr. Mathew Varghese, a distinguished orthopaedic surgeon and global advocate for polio eradication, honoured by both WHO and the Government of India for his contributions to public health. Through expert surgical intervention and comprehensive rehabilitative care, 92 underprivileged individuals regained mobility and independence. All beneficiaries belonged to vulnerable and marginalized communities. This project not only restored physical functionality but also facilitated their reintegration into educational and economic opportunities, underscoring healthcare's role in promoting social equity.	92	100

S. No.	CSR Project	No. of persons benefited from CSR Projects	% Beneficiaries from vulnerable & marginalised groups
2	Advanced Healthcare – Heart Surgeries In partnership with the National Heart Institute, a leading cardiac care center in India, this initiative facilitated life-saving heart surgeries for 40 economically disadvantaged patients suffering from critical cardiovascular conditions, including congenital heart defects, valvular diseases, and ischemic heart ailments. These complex and costly procedures, often inaccessible to families below the poverty line, were fully funded, eliminating any expenses for the patients. The program played a vital role in preventing avoidable deaths, reducing long-term disabilities, and demonstrated a successful model of inclusive tertiary healthcare. All beneficiaries belonged to financially and socially marginalized communities, in alignment with HFCL's commitment to healthcare equity.	40	100
3	Education- Education for Special Needs Children In collaboration with Balwantrao Vidya Bhavan, Delhi HFCL fully funded the education of 50 children with developmental and intellectual disabilities, covering all academic expenses. This initiative aligns with the inclusive and equitable quality education goals outlined in the National Education Policy (NEP) 2020 and promotes long-term independence and social integration for special-needs students, all of whom hail from marginalized socio-economic backgrounds.	50	100
4	Education – Skill Development: Computer Skill Training for Rural Youth through Five Learning Centres in Ghazipur Aligned with Skill India and Digital India initiatives, HFCL in collaboration with Hari Prem Society established five digital learning centres across rural Ghazipur, Uttar Pradesh, a region with high youth unemployment and limited access to vocational training. These centers trained youth in foundational and advanced computer skills, including data entry, office automation, and internet applications, thereby enhancing their employability in both formal and gig economies. All trainees were selected from economically backward rural communities, ensuring that technology becomes a bridge—not a barrier—to upward mobility. This initiative supports SDG 4 (Quality Education), SDG 8 (Decent Work), and SDG 9 (Infrastructure and Innovation).	645	100
5.	Preventive Healthcare – Mobile Medical Units (MMUs) HFCL's flagship initiative in preventive and primary healthcare delivery involves the deployment of Mobile Medical Units (MMUs) across five geographies: Solan (Himachal Pradesh), Goa, Sardarshahar (Rajasthan), Ghazipur (Uttar Pradesh), and Hyderabad (Telangana). These fully equipped vans bring doorstep healthcare services to underprivileged and medically underserved communities, especially in remote, hilly, and urban slum areas. Each MMU includes an MBBS doctor, pharmacist, lab technician, and a dedicated Social Protection Officer & Project Co-ordinator responsible for community engagement, awareness, and grievance redressal. Services include general health checkups, maternal and child health, basic pathology tests, distribution of essential medicines, and preventive health awareness camps. Collectively, the MMUs served 131,396 individuals during FY 2024–25.		
5.1	Preventive Healthcare – Specialised Mobile Medical Unit (Solan)	32,901	100
5.2	Preventive Healthcare – Mobile Medical Unit (Goa)	26,884	100
5.3	Preventive Healthcare – Mobile Medical Unit (Sardarshahar)	23,804	100
5.4	Preventive Healthcare – Mobile Medical Unit (Ghazipur, Uttar Pradesh)	24,304	100
5.5	Preventive Healthcare – Mobile Medical Unit (Hyderabad)	23,503	100

PRINCIPLE 9: Business should engage with and provide value to their consumers in a responsible manner.**Essential Indicators****1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.**

At HFCL, a well-structured and responsive system is in place to manage customer complaints and feedback effectively. Customers can submit their concerns by emailing their assigned account manager or the designated complaint management representative at the respective plant. Each complaint is evaluated based on its nature and urgency, with resolutions provided within clearly defined timeframes to ensure timely and effective redressal.

HFCL is committed to maintaining high levels of customer satisfaction through transparent and accountable grievance handling processes. The Company's customer grievance policy, including the complaint submission procedure, is publicly accessible on its website at:

https://www.hfcl.com/wp-content/uploads/2021/12/HFCL-F08-06-14-Customer-Complaint-Form_Rev-01.pdf

2. Turnover of products and/services as a percentage of turnover from all products/services that carry information about:

Parameters	As percentage to total turnover
Environmental and social parameters relevant to the product	100
Safe and responsible usage	100
Recycling and/or safe disposal	100

Note: The Company shares information about the safe usage, management, and disposal of the product as part of the product information brochure, including the ROHS details, disseminating awareness to customers about environmental parameters and compliances.

3. Number of consumer complaints in respect of the following:

	Current Financial Year 2024-25			Remarks	Previous Financial Year 2023-24			Remarks
	Received	Pending at end of year			Received	Pending at end of year		
Data Privacy	Nil	Nil		NA	Nil	Nil		NA
Advertising	Nil	Nil		NA	Nil	Nil		NA
Cyber-security	Nil	Nil		NA	Nil	Nil		NA
Delivery of essential services	Nil	Nil		NA	Nil	Nil		NA
Restrictive Trade Practices	Nil	Nil		NA	Nil	Nil		NA
Unfair Trade Practices	Nil	Nil		NA	Nil	Nil		NA
Others (Customer Complaints)	6	Nil		All complaints resolved.	Nil	Nil		NA

4. Details of instances of product recalls on account of safety issues:

	Number	Reasons for recall
Voluntary Recalls	Nil	Not Applicable
Forced Recalls	Nil	Not Applicable

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No). If available, provide a web-link of the policy.

Yes. HFCL is certified under the ISO 27701:2019 standard for Privacy Information Management Systems (PIMS), underscoring our commitment to data privacy and regulatory compliance. We have implemented comprehensive controls aligned with both ISO 27001:2022 (Information Security Management System) and ISO 27701:2019 standards. These practices are documented in our internal HFCL PIMS Manual, which guides our approach to privacy governance across the organisation.

To ensure transparency and accessibility, HFCL's Privacy Policy is publicly available at <https://www.hfcl.com/privacy-policy>. The policy is aligned with global and national data protection frameworks, including ISO/IEC 27001:2022, the Information Technology Act, 2000, IT (Amendment) Act, 2008, the Digital Personal Data Protection (DPDP) Act, and the National Cyber Security Policy, 2023. It outlines the management, operation, and safeguarding of personally identifiable information (PII) and associated assets throughout the lifecycle of our IT and telecom products and services, including design, development, supply, installation, system integration, and customer support.

The policy also governs data handling in all third-party contracts and clearly defines the procedures for collecting and processing customer information via the website. It informs users of their rights, the implications of withholding personal data, and provides channels to report concerns or discrepancies.

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services, cyber security, and data privacy of customers; re-occurrence of instances of product recalls, penalty/ action taken by regulatory authorities on safety of products/ services.

During the FY 2024-25, no issues relating to advertising, and delivery of essential services, cyber security, and data privacy of customers occurred, therefore, no corrective actions were implemented. However, HFCL has implemented robust systems to strengthen the cybersecurity, and data privacy framework. The Company's IT infrastructure undergoes continuous monitoring and periodic reviews, complemented by timely system upgrades, data backups, vulnerability assessments, and security patch management to ensure seamless and secure operations.

To streamline identity and access management, Single Sign-On (SSO) has been deployed across sensitive Company applications, enhancing security and user convenience. Protecting customer data remains our priority, therefore, endpoint encryption, multi-layered threat protection, and stringent password policies enforced through Azure Active Directory are in place.

Further, we have instituted remote password synchronisation, secured critical user data backups, and conducted regular security audits. Employee training programs are actively conducted to maintain awareness and preparedness against evolving cyber threats. Our ongoing user awareness campaign circulates educational posters organisation-wide, highlighting emerging cyber risks and best practices for safeguarding data.

To facilitate incident reporting and swift resolution, a Unified Service Desk is accessible via <https://connectit.hfcl.com>. In addition to this, an Attack Surface Management Platform is deployed to proactively detect and prevent data exposure across surface, deep, and dark web channels. Security measures include securing open ports, timely renewal of certificates, and prompt takedown of impersonated domains and malicious applications.

7. Provide the following information relating to data breaches during FY 2024-25:

(a) Number of instances of data breaches:

There were no instances of data breaches during the FY 2024-25.

(b) Percentage of data breaches involving personally identifiable information of customers.

Not Applicable

(c) Impact, if any, of the data breaches.

Not Applicable

Leadership Indicators

1. Channels/ platforms where information on products and services of the entity can be accessed (provide web link, if possible)

Information on HFCL's products and services is available through a variety of channels and platforms to ensure accessibility and transparency for all stakeholders. These include the official website, social media platforms, product manuals, datasheets, brochures, Customer Service Portal, and call centre support. Key access points include:

- i. <https://www.hfcl.com/>
- ii. <https://www.linkedin.com/company/hfcl-limited/>
- iii. <https://instagram.com/hfcllimited>
- iv. <https://io.hfcl.com/>
- v. <https://www.linkedin.com/company/iobyhfcl/>
- vi. <https://x.com/iobyhfcl>
- vii. <https://www.instagram.com/iobyhfcl/>
- viii. <https://www.hfcl.com/ofc/en-gb/>
- ix. <https://www.hfcl.com/ofc/en-us/>

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/ or services.

HFCL has created comprehensive user manuals and guides that are written in clear, accessible language and designed to provide step-by-step instructions for the safe, efficient, and responsible use of its products. These resources are tailored to meet the needs of a diverse customer base, ensuring ease of understanding and usability.

To further support our customers, HFCL offers multiple service channels including a dedicated Customer Service Portal and helpline (+91 87927 01100) where users can seek assistance, clarify doubts regarding product usage, or report issues. For technically advanced or specialised products, HFCL also conducts product training sessions and demonstrations to ensure users are well-informed, confident, and capable of maximising the product's functionality.

3. Mechanism in place to inform consumers of any risk of disruption/ discontinuation of essential services.

HFCL has a structured communication mechanism in place to inform consumers of any potential risk of disruption or discontinuation of essential services. The Company leverages multiple channels such as social media platforms, public relations outlets, and direct customer communications to provide timely updates.

In the event of any anticipated disruption, customers are informed through email, phone calls, and WhatsApp to ensure they receive accurate and prompt information. This multi-channel approach enables HFCL to maintain transparency, minimise inconvenience, and uphold trust by ensuring effective and proactive communication with its consumers.

4. (a) Does the entity display product information on the product over and above what is mandated as per the local laws? (Yes/ No/ Not Applicable). If "Yes", provide details in brief.

(b) Did your entity carry out any survey about customer satisfaction relating to the major products/ services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/ No).

- (a) Yes. HFCL provides detailed product information in the form of a product datasheet. The data sheet includes technical specifications, usage guidelines, and performance parameters and is shared along with the quotation. Manufacturing is undertaken strictly as per the customer-approved datasheet, ensuring transparency, product assurance, and alignment with customer expectations.

(b) No.

HFCL primarily operates in the Business-to-Business (B2B) segment, where customer engagement and feedback mechanisms differ from conventional consumer-facing models. Instead of conducting formal surveys, HFCL gathers regular customer feedback through structured interactions such as business meetings, technical discussions, review calls, and follow-ups. These channels allow for real-time insights into customer expectations, satisfaction levels, and scope for improvement. This ongoing dialogue helps HFCL maintain high service standards, address specific client requirements promptly, and foster long-term partnerships.